M&A Discussion – Sun Pharmaceutical's $11.8 B Acquisition of Organon & Co

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Portfolio: https://jay-finance.github.io/portfolio/

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Executive Summary

Transaction Summary

Context:	▪ Target: Organon (Ticker: OGN) has been listed on the NYSE since its spin-off from Merck & Co. in June 2021, structured as a standalone women's health, biosimilars, and established brands pharmaceutical company. Organon has a portfolio of 70+ products across 140+ countries, with established commercial infrastructure in the U.S., Europe, China, Canada and Brazil. ▪ Acquirer: Sun Pharmaceutical Industries (Ticker: SUNPHARMA), via its subsidiary "Sun Pharmaceutical Holdings USA", entered into a definitive merger agreement to acquire 100% of Organon's issued and outstanding shares. — Sun Pharma is a leading India-based specialty and generics pharmaceutical company; the transaction represents a significant scale-up in Sun Pharma's branded/specialty portfolio while expanding its presence in Women's Health and Biosimilars. Sun Pharma adds a substantial increase in leverage from a historically near-debt-free balance sheet from this deal. — The combined company is expected to have approximately $12.4bn of revenue, presence in 150 countries, and become the 7th-largest global biosimilars player.
Consideration:	▪ Acquisition of 100% of Organon & Co. for $14.00 per Organon share in an all-cash transaction. — This represents a 102.6% premium to Organon's unaffected share price of $6.91 ▪ Aggregate Consideration — Implied Purchase Equity Value of $ 3.9B and Purchase Enterprise Value of $ 11.75B
Financing:	▪ $ 2.0–2.5bn funded through cash, Remaining $ 10.0–11.0bn funded through committed bank financing — Our financing structure assumptions number may vary from the deal; methodology difference in estimation
Synergies:	▪ Acquirer approximates $ 350mm of potential synergies expected to be realized over 2–4 years ▪ Meanwhile, the target estimates $ 700mm of potential synergies

Sun Pharma and Organon – Public Market & Consensus Overview

Sun Pharma – Public Market Overview:

	Current Market Value	
($mm / ₹mm, expect per share data)	**INR**	**USD**
Closing Price:	₹ 1,717	$ 18.54
% 52-Week High:	92.8%	92.8%
Shares Outstanding:	2,399.3	2,399.3
Market Cap:	**₹ 41,19,898**	**$ 44,477**
(-) Cash & Cash-Equivalents:	(97,705)	(1,055)
(-) Financial Investments:	(2,47,225)	(2,669)
(-) Equity Investments:	-	-
(-) Other Non-Core Assets, Net:	(18,326)	(198)
(-) Net Operating Losses:	-	-
(+) Total Debt & Finance Leases:	40,816	441
(+) Preferred Stock:	-	-
(+) Operating Leases:	5,457	59
(+) Noncontrolling Interests:	3,097	33
(+) Unfunded Pensions:	747	8
Implied Enterprise Value:	**₹ 38,06,759**	**$ 41,096**

FYE 03/31	**2026A**	**2027E**	**2028E**
Revenues:	₹ 5,84,620	₹ 6,51,117	₹ 7,29,507
% Growth:	*11.2%*	*11.4%*	*12.0%*
Net Income:	₹ 1,14,794	₹ 1,29,366	₹ 1,53,582
% Margin:	*19.6%*	*19.9%*	*21.1%*
EPS:	₹ 47.80	₹ 54.20	₹ 64.00
% Growth:	*4.8%*	*13.4%*	*18.1%*

FYE 03/31	**2026A**
Debt / 2027E EBITDA	0.2x
Net Debt / 2027E EBITDA	(1.0)x
Credit Rating	BBB+

Organon – Public Market Overview:

	Current Market Value	Offer Price
($mm, expect per share data)	**USD**	**USD**
Closing Price:	$ 6.91	$ 14.00
% 52-Week High:	46.9%	95.1%
Shares Outstanding:	285.2	285.2
Market Cap:	**$ 1,971**	**$ 3,993**
(-) Cash & Cash-Equivalents:	(574)	(574)
(-) Financial Investments:	-	-
(-) Equity Investments:	-	-
(-) Other Non-Core Assets, Net:	-	-
(-) Net Operating Losses:	(229)	(229)
(+) Total Debt & Finance Leases:	8,644	8,644
(+) Preferred Stock:	-	-
(+) Operating Leases:	-	-
(+) Noncontrolling Interests:	-	-
(+) Unfunded Pensions:	59	59
Implied Enterprise Value:	**$ 9,871**	**$ 11,893**

FYE 12/31	**2025A**	**2026E**	**2027E**
Revenues:	$ 6,216	$ 6,169	$ 6,324
% Growth:	*(2.9)%*	*(0.8)%*	*2.5%*
Net Income:	$ 187	$ 601	$ 721
% Margin:	*3.0%*	*9.7%*	*11.4%*
EPS:	$ 0.73	$ 3.49	$ 3.68
% Growth:	*(78.4)%*	*378.9%*	*5.4%*

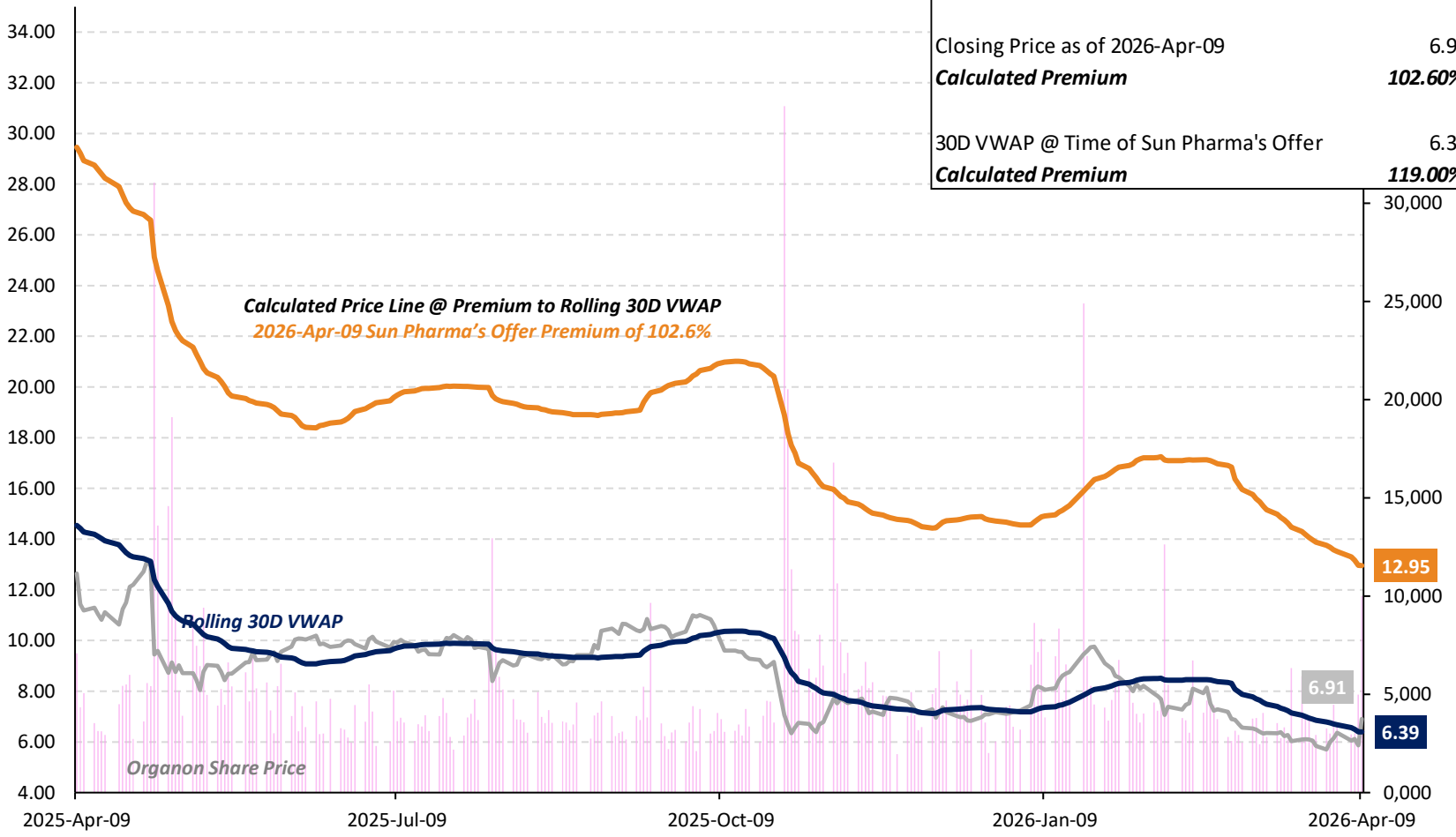
FYE 12/31	**2025A**
Debt / 2027E EBITDA	5.3x
Net Debt / 2027E EBITDA	4.9x
Credit Rating	BB

- *The purchase enterprise value and equity value differs from the announced $11.75bn and $ 3.9bn due to differences in methodology used in estimation basis (For i.e. NOL and pension treatment in our methodology)*
- *Credit Ratings by Standard and Poor Global*
- *Debt as of FY26A (Sun) / FY25A (OGN) divided by FY27E EBITDA*
- *Figures in this slide are Consensus Estimates and differs from our projections except the debt projections sourced from: simplywall.st*

Sun Pharma's Offer vs. 30D VWAP

Organon Rolling 30D VWAP Over Time (09-Apr-2025 to 09-Apr-2026)

$ Per Share	*2026-Apr-09*
Offer Price	$ 14.00
Closing Price as of 2026-Apr-09	6.91
Calculated Premium	***102.60%***
30D VWAP @ Time of Sun Pharma's Offer	6.39
Calculated Premium	***119.00%***

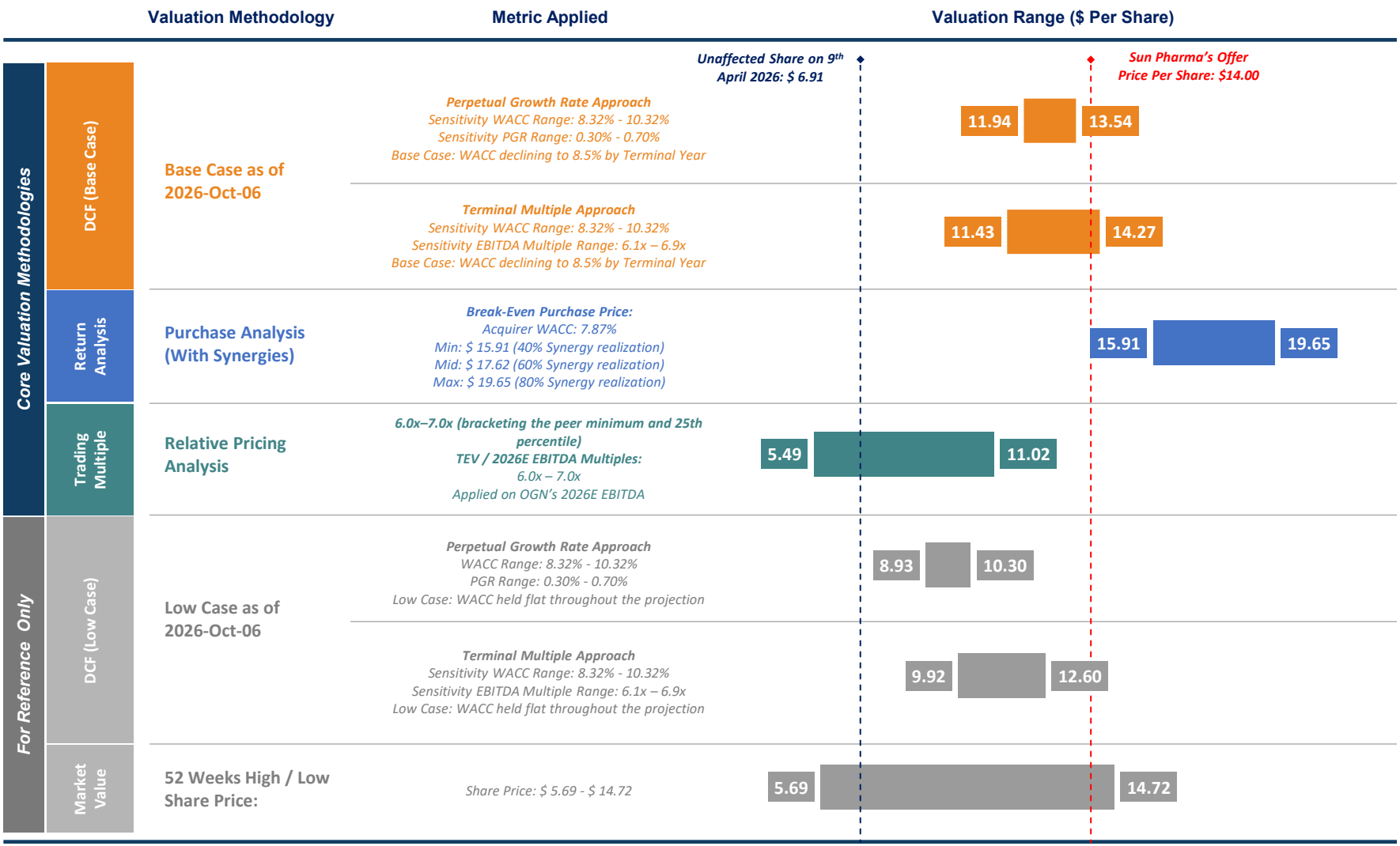


- *The unaffected share price and VWAP is based on the announcement date "10-April-2026", DCF is based on the analysis date "6-October-2026" but the premium is estimated on the unaffected price.*

Valuation of Target

Valuation Summary

(All financials in $mm unless stated otherwise)



Key Assumptions for Discounted Cash Flow

Revenue Growth	▪ (2.9)% in CY25 increasing to 1.8% in CY30, and reaches 1.0% in the last projection year CY35
Operating Margins	▪ 21.4% (CY26) rising to 22.0% by the end of the 10-year projected period
Depreciation & Amortization	▪ 4.6% of revenue (CY26), declining to 3.0% by the final projected year (CY35)
Capital Expenditures & Acquisitions	▪ 2.6% of revenue (CY25), increasing to 3.0% by the final projected year (CY35)
Synergies / Acquisition Effects	▪ Cost saving synergies and Integration costs @ $ 35mm and $ 140mm in year 1 fully realizing at $ 350mm and $ 0 by Year 4. Synergies not assumed for the DCF as synergies are not 100% attributable to Target, but is used in the Return Analysis.
Cost of Equity and WACC	▪ 10.69% Cost of Equity and WACC of 9.32% at optimal capital structure (16.63% and 7.04% in current capital structure). Ignoring high leverage of the company. WACC declines to 8.50% by the last projection year
Terminal Growth Rate and Multiples	▪ Terminal Growth Rates range from 0.0% to 1.0%, and Terminal EBITDA Multiples range from 5.5x to 7.5x

Revenue Projections

(All financials in $mm unless stated otherwise)

Revenue Guidance & Assumptions:

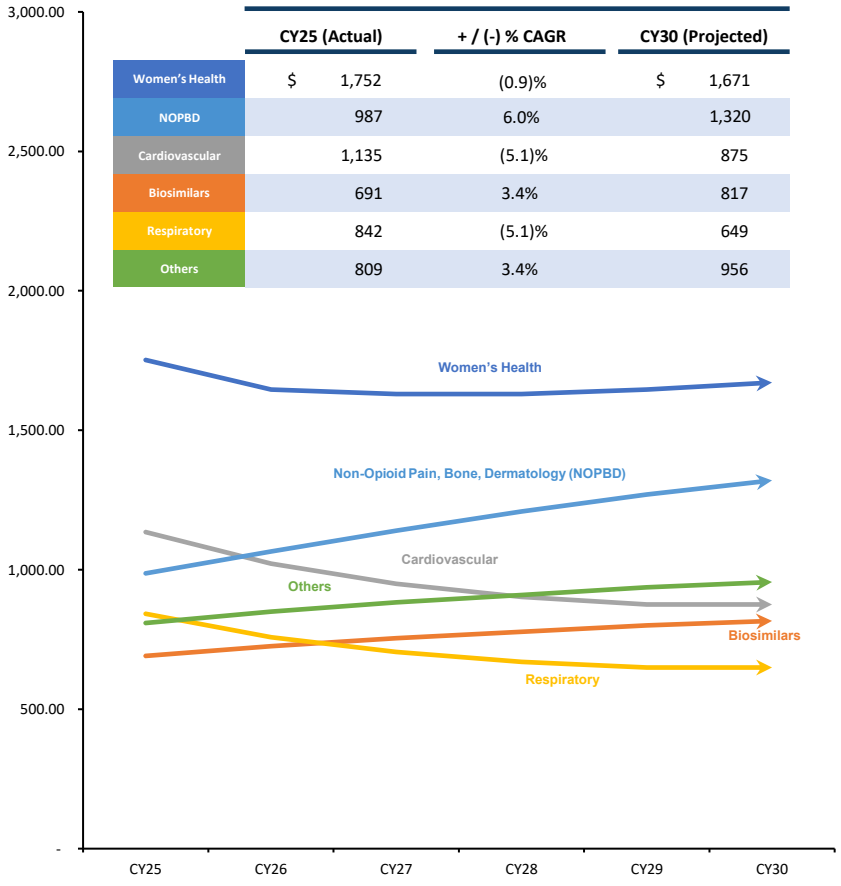
Women's Health:	▪ Expected to remain under pressure from continued erosion in **NuvaRing**. **Nexplanon** provides support following FDA's extension of approved duration to 5 years, but benefits are expected to build gradually.
Non-Opioid Pain, Bone, Dermatology (NOPBD):	▪ One of the primary growth drivers, supported by **Vtama** (grew 9.6x by acquisition of Dermavant) and the broader dermatology portfolio. Forecast growth is below the CY25 reported growth rate to avoid extrapolating the acquisition.
Cardiovascular:	▪ Continued decline due to the ongoing generic/competitive pressure across products such as **Atozet, Cozaar and Hyzaar**. The forecast / Guidance assumes the rate of decline moderates as the business approaches a more stable base.
Biosimilars:	▪ Growth is supported by the expansion of **Hadlima** and the broader biosimilars portfolio. Growth is deliberately tapered from ~5% toward ~2% as newer-product launch matures and the portfolio reaches a more normalized growth trajectory.
Respiratory:	▪ Revenue remains pressured by **Dulera's** Loss of contract and continued erosion in **Singulair** and **Nasonex**, due to competition and portfolio maturity. The forecast / Guidance assumes persistent but progressively slower declines.
Others:	▪ Moderate growth driven by acquisition of **Emgality** (grew 60%), while avoiding extrapolation of unusually high historical growth rates associated with newly acquired commercialization rights.

The consolidated revenue growth assumption declines from **~1.8% in CY30 initially toward ~1.0% in CY35**, reflecting a mature long-term business.

Revenue Projections by Segment:

5Y Revenue CAGR

	CY25 (Actual)	+ / (-) % CAGR	CY30 (Projected)
Women's Health	$ 1,752	(0.9)%	$ 1,671
NOPBD	987	6.0%	1,320
Cardiovascular	1,135	(5.1)%	875
Biosimilars	691	3.4%	817
Respiratory	842	(5.1)%	649
Others	809	3.4%	956

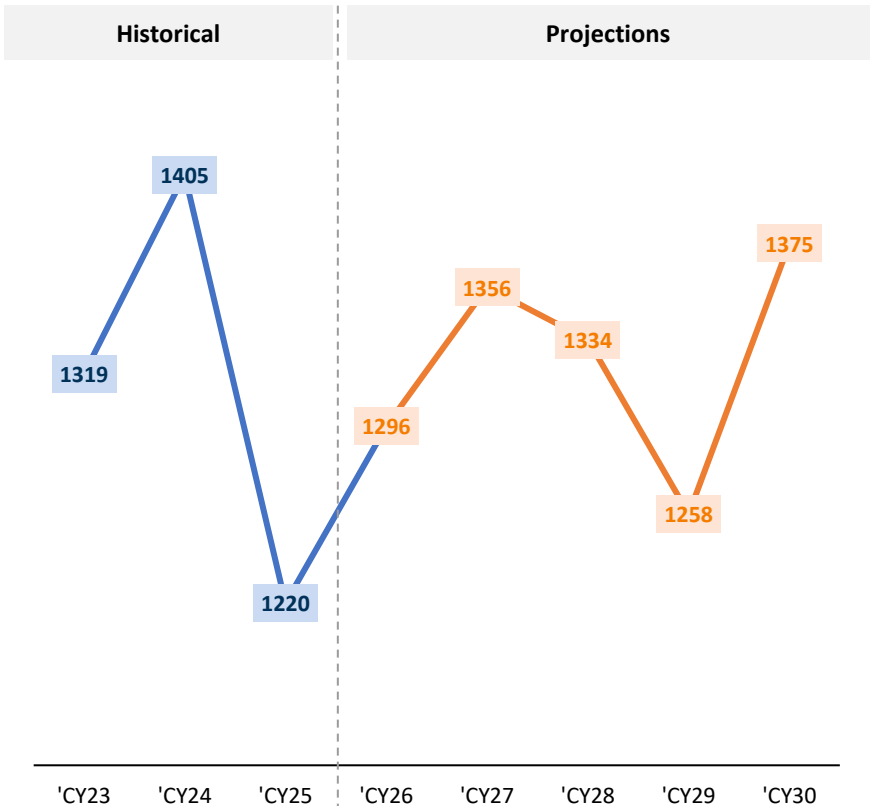


Historical EBIT vs. Projections

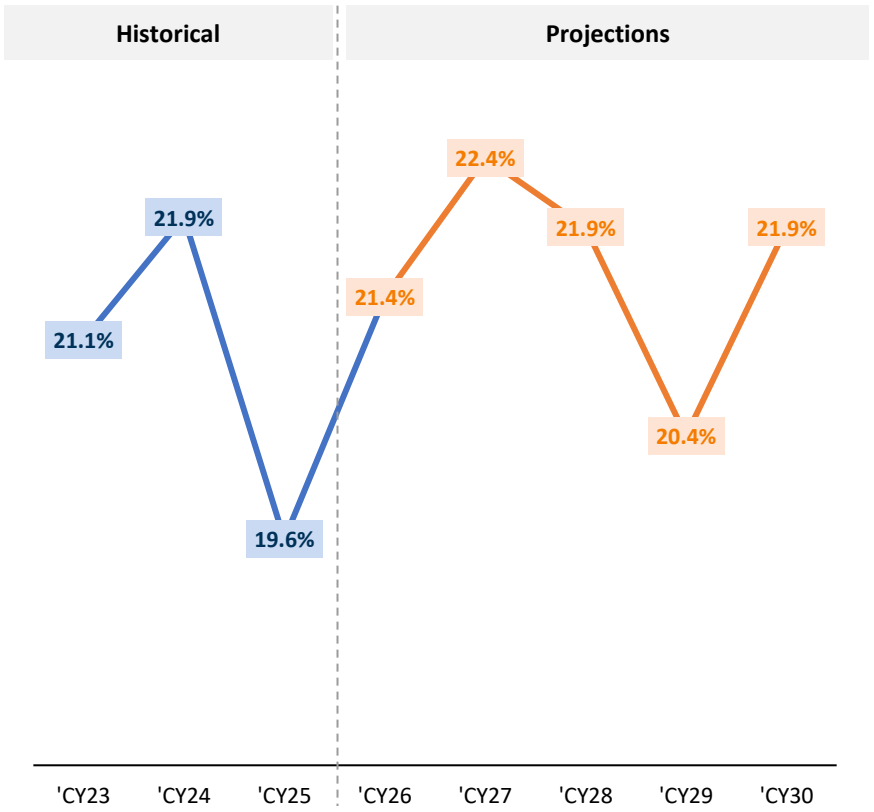
(All financials in $mm unless stated otherwise)

- SG&A is forecasted at **21.0–23.0% of revenue**, in line with historical levels and slightly below the historical average, reflecting normalization of operating costs without assuming significant margin expansion. R&D is maintained at **5.0% of revenue**, consistent with the historical average. Acquired IPR&D and milestone expenses are assumed at **0.5% of revenue**, above the historical run-rate to allow for potential future acquisitions and milestone-related spending. D&A is held at **4.6% of revenue**, reflecting the historical average and the mature nature of the asset base.

EBIT in $mm:



EBIT Margin in %:

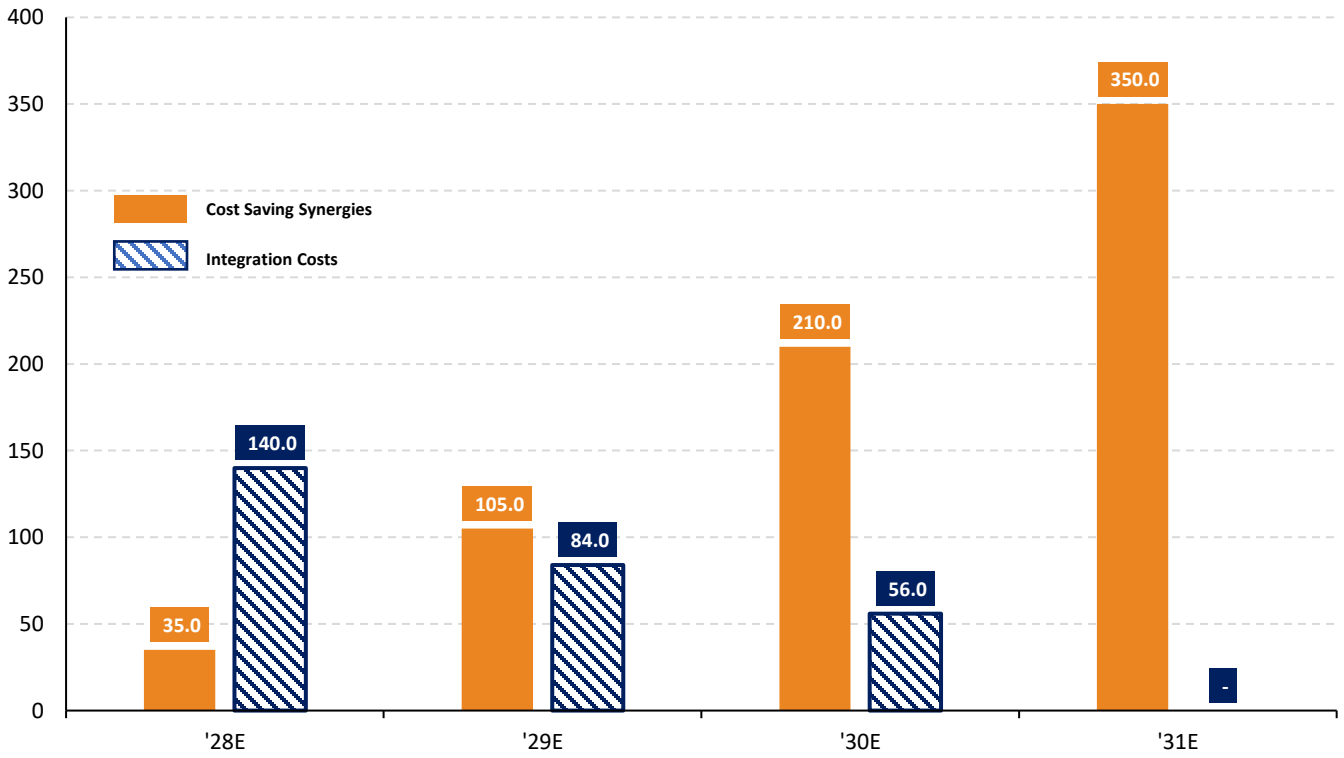


Synergies Analysis

(All financials in $mm unless stated otherwise)

- The transaction assumes $350mm of annual run-rate cost-saving synergies guided by the acquirer, with realization ramping from 10% in Year 1 to 30% in Year 2, 60% in Year 3 and 100% in Year 4. integration costs are assumed at $ 280mm, or 80% of the ultimate synergy run-rate, and are incurred over the first three years at 50%, 30% and 20%, respectively.

Cost Saving Synergies and Integration Costs:



Discounted Cash Flow Analysis

(All financials in $mm unless stated otherwise)

- Free cash flow remains positive throughout the projection period, supported by stable operating performance and disciplined capital deployment. Working capital remains a recurring use of cash, while Capital Expenditure and acquisition spending normalize over time as the portfolio matures. WACC assumed to decrease from 9.32% to 8.50% WACC is applied across the forecast period to derive the present value of projected unlevered free cash flows.

Calculation of Unlevered Free Cash Flow:

		Projected:									
Unlevered Free Cash Flow Projections:	***Units:***	**CY26E**	**CY27E**	**CY28E**	**CY29E**	**CY30E**	**CY31E**	**CY32E**	**CY33E**	**CY34E**	**CY35E**
Total Revenue:	*$ M*	**$ 6,067**	**$ 6,063**	**$ 6,098**	**$ 6,178**	**$ 6,289**	**$ 6,383**	**$ 6,479**	**$ 6,543**	**$ 6,609**	**$ 6,675**
Growth Rate:	*%*	*(2.4%)*	*(0.1%)*	*0.6%*	*1.3%*	*1.8%*	*1.5%*	*1.5%*	*1.0%*	*1.0%*	*1.0%*
Earnings Before Interest & Taxes (EBIT):	*$ M*	1,296	1,356	1,334	1,258	1,375	1,404	1,425	1,440	1,454	1,468
EBIT Margin:	*%*	*21.4%*	*22.4%*	*21.9%*	*20.4%*	*21.9%*	*22.0%*	*22.0%*	*22.0%*	*22.0%*	*22.0%*
(-) Taxes, Excluding Effect of Interest:	*$ M*	(421)	(441)	(433)	(409)	(447)	(456)	(463)	(468)	(473)	(477)
Net Operating Profit After Tax (NOPAT):	*$ M*	**875**	**916**	**900**	**849**	**928**	**948**	**962**	**972**	**981**	**991**
Adjustments for Non-Cash Charges:											
(+) Depreciation & Amortization:	*$ M*	281	281	283	286	291	296	279	262	231	200
% Revenue:	*%*	*4.6%*	*4.6%*	*4.6%*	*4.6%*	*4.6%*	*4.6%*	*4.3%*	*4.0%*	*3.5%*	*3.0%*
(+) Goodwill Impairment:	$ M	-	-	-	-	-	-	-	-	-	-
(+/-) Deferred Income Tax:	$ M	-	-	-	-	-	-	-	-	-	-
(+) Stock-based Compensation:	*$ M*	73	67	61	62	63	64	65	65	66	67
% Revenue:	*%*	*1.2%*	*1.1%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*
(+/-) Net Change in Working Capital:	*$ M*	(139)	(186)	(215)	(222)	(179)	(212)	(216)	(209)	(205)	(200)
% Revenue:		*2.3%*	*3.1%*	*3.5%*	*3.6%*	*2.9%*	*3.3%*	*3.3%*	*3.2%*	*3.1%*	*3.0%*
(-) Capital Expenditures & Acquisitions:		253	(187)	(188)	(191)	(194)	(197)	(200)	(202)	(198)	(200)
% Revenue:	*%*	*(4.2%)*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*3.0%*	*3.0%*
Annual Unlevered Free Cash Flow:	*$ M*	**1,343**	**890**	**840**	**785**	**909**	**898**	**890**	**888**	**876**	**858**
Growth Rate:	*%*	*10.3%*	*(33.7%)*	*(5.6%)*	*(6.6%)*	*15.9%*	*(1.2%)*	*(0.9%)*	*(0.3%)*	*(1.4%)*	*(2.0%)*
Discount Rate	*%*	*9.3%*	*9.2%*	*9.2%*	*9.1%*	*9.0%*	*8.9%*	*8.8%*	*8.7%*	*8.7%*	*8.5%*
Discount Factor	#	0.24	1.24	2.24	3.24	4.24	5.24	6.24	7.24	8.24	9.24
PV of Unlevered FCF:	*$ M*	**$ 1,315**	**$ 798**	**$ 691**	**$ 592**	**$ 631**	**$ 575**	**$ 525**	**$ 484**	**$ 442**	**$ 404**
EBITDA:	*$ M*	**1,578**	**1,637**	**1,616**	**1,545**	**1,667**	**1,700**	**1,704**	**1,701**	**1,685**	**1,669**
Growth Rate:	*%*	*(0.2%)*	*3.8%*	*(1.3%)*	*(4.4%)*	*7.9%*	*2.0%*	*0.2%*	*(0.2%)*	*(0.9%)*	*(1.0%)*

Divestiture Cash Proceeds of $440 post-tax from "Jada" in CY26

SUN PHARMA ORGANON

Discounted Cash Flow Analysis (Cont'd)

(All financials in $mm unless stated otherwise)

- Both terminal value methodologies produce broadly consistent enterprise values. However, Organon's significant debt burden results in a substantial reduction from enterprise value to equity value, yielding implied share prices of $ 12.73 under the perpetuity growth method and $ 12.84 under the exit multiple method. Terminal value represents ~44% of implied TEV, limiting the valuation's dependence on terminal assumptions.

Terminal Enterprise Value to Equity Value Bridge:

Terminal Value - Perpetuity Growth Method:	
Baseline Terminal FCF Growth Rate:	0.50%
Baseline Terminal Value:	$ 10,775.2
Implied Terminal EBITDA Multiple:	6.5 x
(+) PV of Terminal Value:	5,072.3
(+) Sum of PV of Free Cash Flows:	6,457.2
Implied Enterprise Value:	**11,529.5**
% of Implied TEV from Terminal Value:	*44.0%*
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**3,629.5**
Diluted Shares Outstanding:	285.200
Implied Share Price from DCF:	**$ 12.73**
Premium / (Discount) to Current:	**84.2%**

Terminal Value - Multiples Method:	
Baseline Terminal EBITDA Multiple:	6.5 x
Baseline Terminal Value:	$ 10,846.7
Implied Terminal FCF Growth Rate:	0.55%
(+) PV of Terminal Value:	5,106.0
(+) Sum of PV of Free Cash Flows:	6,457.2
Implied Enterprise Value:	**11,563.2**
% of Implied TEV from Terminal Value:	*44.2%*
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**3,663.2**
Diluted Shares Outstanding:	285.200
Implied Share Price from DCF:	**$ 12.84**
Premium / (Discount) to Current:	**85.9%**

perpetuity growth method produces an implied share prices of $ 9.60 and exit multiple produces $ 11.26 when WACC remains flat at 9.32%

Discounted Cash Flows Analysis Output

(All financials in $mm unless stated otherwise)

- Our DCF indicates that Organon's **unaffected share price of $ 6.91** was undervalued by ~85%, with **implied values of $ 12.73 using a 0.5% perpetual growth rate** and **$ 12.84 using a 6.5x terminal EBITDA multiple**. While both approaches imply upside to the unaffected share price, the $14.00 offer represents a slight premium (~10%) to our DCF-derived values, suggesting that the merger might have to look at the realization of operating and strategic synergies to get the maximum full value.

Sensitivity - Terminal FCF Growth Rate vs. Discount Rate and Implied Share Price from DCF Analysis:

Implied Share Price Range
$ 11.94 – $ 13.54

	Terminal FCF Growth Rate:										
Discount Rate (WACC):	-	0.10%	0.20%	0.30%	0.40%	0.50%	0.60%	0.70%	0.80%	0.90%	1.00%
11.32%	$ 10.97	$ 11.19	$ 11.41	$ 11.63	$ 11.86	**$ 12.10**	$ 12.34	$ 12.59	$ 12.85	$ 13.11	$ 13.38
10.82%	11.12	11.34	11.56	11.79	12.02	**12.25**	12.50	12.75	13.00	13.26	13.53
10.32%	11.28	11.50	11.72	11.94	12.17	**12.41**	12.65	12.90	13.16	13.42	13.69
9.82%	11.44	11.65	11.87	12.10	12.33	**12.57**	12.81	13.06	13.31	13.58	13.85
9.32%	**11.60**	**11.81**	**12.03**	**12.26**	**12.49**	**12.73**	**12.97**	**13.22**	**13.47**	**13.74**	**14.01**
8.82%	11.76	11.97	12.19	12.42	12.65	**12.89**	13.13	13.38	13.64	13.90	14.17
8.32%	11.92	12.14	12.36	12.58	12.81	**13.05**	13.29	13.54	13.80	14.06	14.33
7.82%	12.09	12.30	12.52	12.75	12.98	**13.22**	13.46	13.71	13.96	14.23	14.50
7.32%	12.25	12.47	12.69	12.92	13.15	**13.38**	13.63	13.88	14.13	14.39	14.66

Sensitivity - Terminal EBITDA Multiple vs. Discount Rate and Implied Share Price from DCF Analysis:

Implied Share Price Range
$ 11.43 – $ 14.27

	Terminal EBITDA Multiple:										
Discount Rate (WACC):	5.5x	5.7x	5.9x	6.1x	6.3x	6.5x	6.7x	6.9x	7.1x	7.3x	7.5x
11.32%	$ 9.46	$ 10.01	$ 10.57	$ 11.12	$ 11.67	**$ 12.22**	$ 12.77	$ 13.32	$ 13.87	$ 14.42	$ 14.97
10.82%	9.62	10.17	10.72	11.27	11.82	**12.37**	12.92	13.47	14.02	14.58	15.13
10.32%	9.77	10.32	10.87	11.43	11.98	**12.53**	13.08	13.63	14.18	14.73	15.28
9.82%	9.93	10.48	11.03	11.58	12.13	**12.68**	13.24	13.79	14.34	14.89	15.44
9.32%	**10.09**	**10.64**	**11.19**	**11.74**	**12.29**	**12.84**	**13.40**	**13.95**	**14.50**	**15.05**	**15.60**
8.82%	10.25	10.80	11.35	11.90	12.45	**13.01**	13.56	14.11	14.66	15.21	15.76
8.32%	10.41	10.97	11.52	12.07	12.62	**13.17**	13.72	14.27	14.82	15.37	15.92
7.82%	10.58	11.13	11.68	12.23	12.78	**13.33**	13.89	14.44	14.99	15.54	16.09
7.32%	10.75	11.30	11.85	12.40	12.95	**13.50**	14.05	14.60	15.15	15.71	16.26

Return Analysis with Synergies

(All financials in $mm unless stated otherwise)

- The analysis incorporates **$350mm of long-term annual cost-saving synergies, phased at 10%, 30%, 60% and 100% over the first four years**. **Total integration costs are assumed at $280mm, or 80% of the long-term synergy run-rate, and phased at 50%, 30%, 20% and 0% over the first four years**. After-tax synergies are combined with the Target's projected unlevered free cash flow to assess the transaction's implied return. The long term growth rate of 0.00% is assumed for the synergies and 0.50% is assumed for the unlevered free cash flow.

Calculation of Unlevered Free Cash Flow and Deal IRR

IRR vs. Discount Rate:	*Units:*	CY26E	CY27E	CY28E	CY29E	CY30E	CY31E	CY32E	CY33E	CY34E	CY35E
Expected Cost Savings Per Year:	*$ M*	$ 350.0									
Total Merger & Integration Costs:	*$ M*	280.0									
Total Cost Savings:	*$ M*		35.0	105.0	210.0	350.0	350.0	350.0	350.0	350.0	350.0
Merger Integration Costs:	*$ M*		(140.0)	(84.0)	(56.0)	-	-	-	-	-	-
Net Synergies:	*$ M*		**(105.0)**	**21.0**	**154.0**	**350.0**	**350.0**	**350.0**	**350.0**	**350.0**	**350.0**
After-Tax Cash Flow from Synergies:			**$ (79)**	**$ 16**	**$ 115**	**$ 262**	**$ 262**	**$ 262**	**$ 262**	**$ 262**	**$ 262**
Purchase Enterprise Value:	*$ M*	$ 11,892.8									
Acquirer's WACC:	%	7.9%									
Long-Term Growth Rate of Synergies:	%	0.0%									
Unlevered Free Cash Flow of Target:	*$ M*		890	840	785	909	898	890	888	876	858
After-Tax Cash Flow from Synergies:	*$ M*		(79)	16	115	262	262	262	262	262	262
Terminal Value of Target UFCF:	*$ M*										11,693
Terminal Value of Synergies:	*$ M*										3,327
Total Unlevered FCF from Deal:	*$ M*	**(11,893)**	**812**	**856**	**900**	**1,171**	**1,160**	**1,152**	**1,150**	**1,138**	**16,140**
Internal Rate of Return (IRR):	%										**10.5%**

Return Analysis Output

(All financials in $mm unless stated otherwise)

- At current $ 14.00 offer price, the transaction generates an IRR of 10.48% at 100% synergy realization, 261bps above the acquirers WACC of 7.87%.The transaction remains above the hurdle rate at 60%, 40% and even 20% synergy realization, generating 9.2%, 8.6% and 7.9% respectively. At the current offer price per share $ 14.00, the deal reaches break-even by earning 7.9% in IRR with just ~19% synergy realization.
- The sensitivity indicates meaningful valuation headroom: at 80% synergy realization, the Acquirer could pay ~$ 19.65/share while achieving a IRR of 7.9%. At 60% and 40% realization, the corresponding break-even prices are ~$ 17.62/share and ~$ 15.91/share, respectively. The deal IRR falls to 7.17% in case of 0% synergies; implying a $ 12.20/share.
- At $14.00 and 100% synergy realization, deal IRR falls from 10.5% at Sun's 7.9% WACC to 9.0% at 9.4% and 8.2% at 10.4%. IRR equals the discount rate at ~9.2%.

Sensitivity - Internal Rate of Return (IRR) on Acquisition vs. Purchase Enterprise Value and Synergy Realization Factor:

	Implied Share Price & Purchase Enterprise Value:										
	$ 5.2	$ 7.0	$ 8.7	$ 10.5	$ 12.2	**$ 14.0**	$ 15.8	$ 17.5	$ 19.3	$ 21.0	$ 22.8
	9,392.8	9,892.8	10,392.8	10,892.8	11,392.8	**11,892.8**	12,392.8	12,892.8	13,392.8	13,892.8	14,392.8
180.00%	16.7%	15.8%	15.0%	14.2%	13.4%	**12.7%**	12.0%	11.4%	10.8%	10.2%	9.7%
160.00%	16.2%	15.3%	14.4%	13.6%	12.9%	**12.2%**	11.5%	10.9%	10.3%	9.7%	9.2%
140.00%	15.6%	14.7%	13.9%	13.1%	12.3%	**11.6%**	11.0%	10.3%	9.7%	9.2%	8.6%
120.00%	15.0%	14.1%	13.3%	12.5%	11.8%	**11.1%**	10.4%	9.8%	9.2%	8.6%	8.1%
100.00%	**14.4%**	**13.5%**	**12.7%**	**11.9%**	**11.2%**	**10.5%**	**9.8%**	**9.2%**	**8.6%**	**8.0%**	**7.5%**
80.00%	13.8%	12.9%	12.1%	11.3%	10.6%	**9.9%**	9.2%	8.6%	8.0%	7.5%	6.9%
60.00%	13.1%	12.2%	11.4%	10.7%	9.9%	**9.2%**	8.6%	8.0%	7.4%	6.8%	6.3%
40.00%	12.4%	11.6%	10.7%	10.0%	9.3%	**8.6%**	7.9%	7.3%	6.7%	6.2%	5.7%
20.00%	11.7%	10.9%	10.0%	9.3%	8.6%	**7.9%**	7.3%	6.6%	6.1%	5.5%	5.0%
0.00%	11.0%	10.1%	9.3%	8.6%	7.8%	**7.2%**	6.5%	5.9%	5.4%	4.8%	4.3%

Synergy Realization Factor:

Sensitivity - Internal Rate of Return (IRR) on Acquisition vs. Purchase Enterprise Value and Acquirer's WACC:

	Purchase Enterprise Value:									
Share Price:	**$ 11.4**	**$ 11.9**	**$ 12.4**	**$ 12.9**	**$ 13.5**	**$ 14.0**	**$ 14.5**	**$ 15.1**	**$ 15.6**	**$ 16.1**	**$ 16.6**
	11,142.8	11,292.8	11,442.8	11,592.8	11,742.8	11,892.8	12,042.8	12,192.8	12,342.8	12,492.8	12,642.8
6.37%	13.5%	13.2%	13.0%	12.8%	12.6%	**12.4%**	12.2%	12.0%	11.8%	11.6%	11.4%
6.87%	12.8%	12.5%	12.3%	12.1%	11.9%	**11.7%**	11.5%	11.3%	11.1%	10.9%	10.7%
7.37%	12.1%	11.9%	11.7%	11.5%	11.3%	**11.1%**	10.9%	10.7%	10.5%	10.3%	10.1%
7.87%	**11.5%**	**11.3%**	**11.1%**	**10.9%**	**10.7%**	**10.5%**	**10.3%**	**10.1%**	**9.9%**	**9.7%**	**9.5%**
8.37%	11.0%	10.8%	10.6%	10.4%	10.2%	**10.0%**	9.8%	9.6%	9.4%	9.2%	9.0%
8.87%	10.5%	10.3%	10.1%	9.9%	9.7%	**9.5%**	9.3%	9.1%	8.9%	8.7%	8.5%
9.37%	10.1%	9.9%	9.6%	9.4%	9.2%	**9.0%**	8.8%	8.6%	8.4%	8.2%	8.0%
9.87%	9.7%	9.4%	9.2%	9.0%	8.8%	**8.6%**	8.4%	8.2%	8.0%	7.8%	7.6%
10.37%	9.3%	9.1%	8.8%	8.6%	8.4%	**8.2%**	8.0%	7.8%	7.6%	7.4%	7.2%

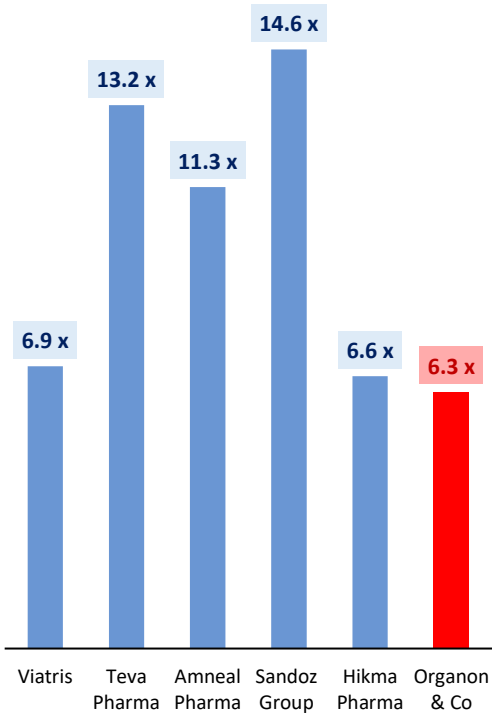
Acquirer's WACC:

Public Trading Comps Analysis

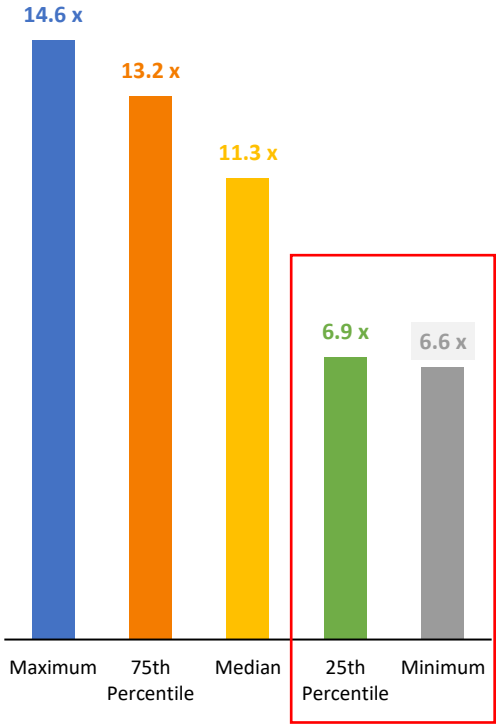
(All financials in $mm unless stated otherwise)

- We apply a TEV / 2026E EBITDA range of 6.0x – 7.0x to Organon (midpoint 6.5x), spanning its current 6.3x and bracketing the peer minimum (6.6x, Hikma) and 25th percentile (6.9x, Viatris), well below the 11.3x peer median. Organon's near-term revenue growth is negative and way below the peers median of 4.1%, and its projected EBITDA growth of 3.8% is below the peers median of 11.2%, which supports pricing at the low end of the peer set. Meanwhile its ~26% EBITDA margin remains broadly in line with the peer group.

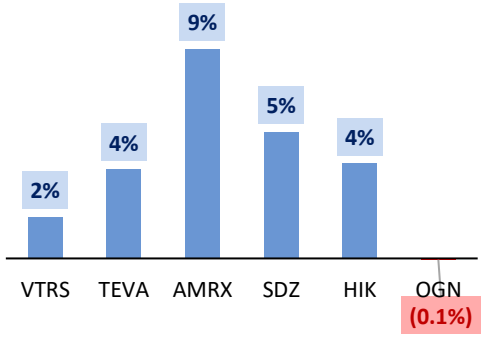
TEV / EBITDA (CY2026E):



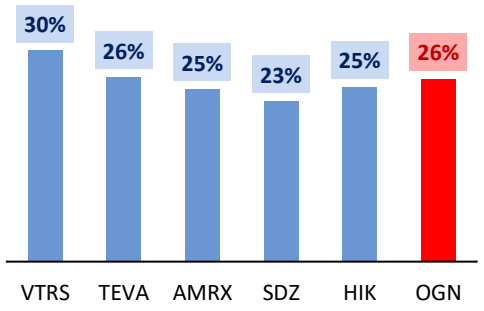
Relative Pricing:



Projected Revenue % Growth (CY2027E):



Projected EBITDA Margin (CY2026E):



Public Trading Comps Analysis (Cont'd)

(All financials in $mm unless stated otherwise)

We select 6.0x – 7.0x TEV / 2026E EBITDA for OGN, as it falls way behind the peer universe on growth but has similar margins.

Company Name	Capitalization: Equity Value	Capitalization: Enterprise Value	EBITDA: LTM	EBITDA: 26E	EBITDA: 27E	Enterprise Value / EBITDA: LTM	Enterprise Value / EBITDA: 26E	Enterprise Value / EBITDA: 27E	Projected Revenue Growth	Projected EBITDA Growth	EBITDA Margin: LTM	EBITDA Margin: 26E	EBITDA Margin: 27E
Organon & Co	1,970.7	9,870.7	1,564.0	1,577.5	1,637.3	6.3 x	6.3 x	6.0 x	(0.1%)	3.8%	25.5%	26.0%	27.0%
Peer Universe													
Viatris Inc.	$ 19,549.0	$ 30,555.3	$ 4,292.5	$ 4,440.0	$ 4,588.0	7.1 x	6.9 x	6.7 x	1.8%	3.3%	29.2%	30.0%	30.5%
Teva Pharmaceutical Industries Limited	44,899.0	58,045.0	4,268.0	4,381.0	5,570.0	13.6 x	13.2 x	10.4 x	3.9%	27.1%	24.6%	26.2%	32.1%
Amneal Pharmaceuticals, Inc.	6,297.3	8,716.1	689.4	774.4	862.9	12.6 x	11.3 x	10.1 x	9.0%	11.4%	22.1%	24.6%	25.1%
Sandoz Group AG	35,538.9	40,373.9	1,650.0	2,763.0	3,072.0	24.5 x	14.6 x	13.1 x	5.5%	11.2%	14.8%	22.8%	24.1%
Hikma Pharmaceuticals PLC	4,499.1	5,715.1	864.0	860.8	911.1	6.6 x	6.6 x	6.3 x	4.1%	5.8%	25.3%	24.9%	25.3%
Selected Range (Minimum):						**6.6 x**	**6.6 x**	**6.3 x**	**1.8%**	**3.3%**	**14.8%**	**22.8%**	**24.1%**
Maximum	$ 44,899.0	$ 58,045.0	$ 4,292.5	$ 4,440.0	$ 5,570.0	24.5 x	14.6 x	13.1 x	9.0%	27.1%	29.2%	30.0%	32.1%
75th Percentile	35,538.9	40,373.9	4,268.0	4,381.0	4,588.0	13.6 x	13.2 x	10.4 x	5.5%	11.4%	25.3%	26.2%	30.5%
Median	**19,549.0**	**30,555.3**	**1,650.0**	**2,763.0**	**3,072.0**	**12.6 x**	**11.3 x**	**10.1 x**	**4.1%**	**11.2%**	**24.6%**	**24.9%**	**25.3%**
25th Percentile	6,297.3	8,716.1	864.0	860.8	911.1	7.1 x	6.9 x	6.7 x	3.9%	5.8%	22.1%	24.6%	25.1%
Minimum	4,499.1	5,715.1	689.4	774.4	862.9	6.6 x	6.6 x	6.3 x	1.8%	3.3%	14.8%	22.8%	24.1%

Trading Comps Range:

Multiple @ 6.0x on 2026E EBITDA:	
Implied Enterprise Value:	**9,465.3**
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**1,565.3**
Diluted Shares Outstanding:	285.200
Implied Share Price from Comps:	**$ 5.49**
Premium / (Discount) to Current:	**(20.6%)**

Multiple @ 6.5x on 2026E EBITDA:	
Implied Enterprise Value:	**10,254.1**
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**2,354.1**
Diluted Shares Outstanding:	285.200
Implied Share Price from Comps:	**$ 8.25**
Premium / (Discount) to Current:	**19.5%**

Multiple @ 7.0x on 2026E EBITDA:	
Implied Enterprise Value:	**11,042.8**
(+) Cash & Cash-Equivalents:	574.0
(+) Financial Investments:	-
(+) Equity Investments:	-
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	229.0
(-) Total Debt & Finance Leases:	(8,644.0)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	-
(-) Unfunded Pensions:	(59.0)
Implied Equity Value:	**3,142.8**
Diluted Shares Outstanding:	285.200
Implied Share Price from Comps:	**$ 11.02**
Premium / (Discount) to Current:	**59.5%**

Merger Analysis

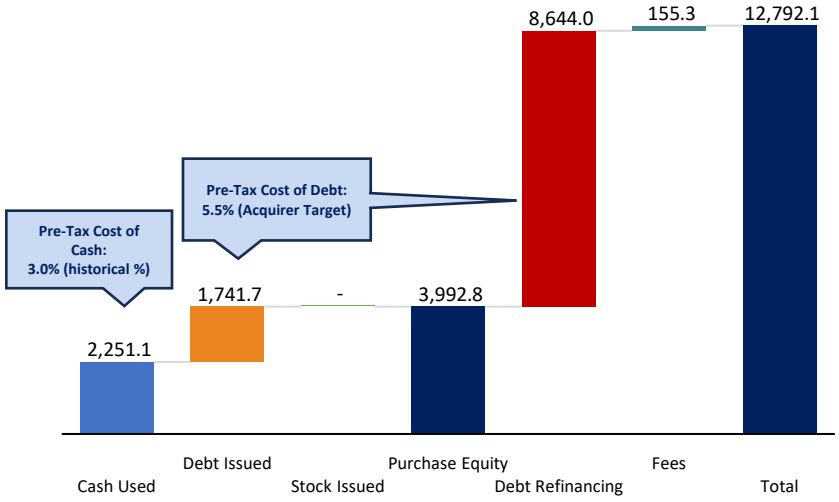
Key Deal Assumptions for Merger Analysis

Offer Price, and 1-Day Premium	▪ $ 14.00 Per Share @ 102.6% Premium, for all of the 285mm diluted shares outstanding making the equity purchase price $ 3,993mm
Cash / Debt / Stock Mix	▪ Scenario 1 Uses $ 2,252mm cash and $ 1,741 debt to fund equity purchase price of $ 3,993mm (Management Case), Scenario 2 uses $ 2,252mm cash and funds the rest with stock
Treatment of Target's Debt and Cash	▪ Target's existing debt of $ 8,644mm is refinanced and replaced with new debt; target's cash contributes to the funding
Expense Synergies	▪ $ 35mm in year 1 fully realizing at $ 350mm by Year 4 (5% of the combined company's Operating Expenses when fully realized)
Merger & Integration Costs	▪ 80% of year 4 Expense Synergies; (80% of the Year 4 run-rate), phased 50/30/20 % over three years.
Purchase Accounting	▪ 10% PP&E Write-Up ($ 205mm) and 60% of the Purchase Premium allocated to Other Intangible Assets ($4,045mm), with 2/3 Indefinite-Lived
Repayment of New Loan	▪ 1% Mandatory Repayment along Additional Repayment using 100% cash sweep with $ 100mm minimum cash balance on the Balance Sheet

Financing Assumptions

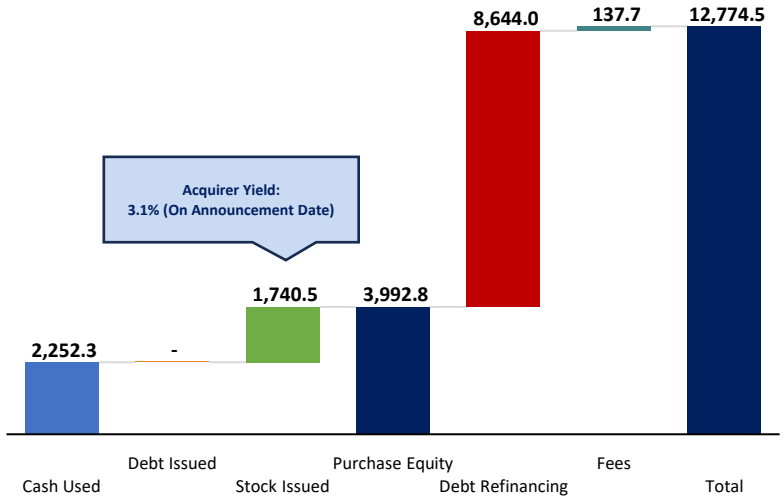
(All financials in $mm except share data)

Scenario 1 – Cash + Debt



- Minimum cash balance is maintained at 1.0% of FY27E $ combined revenue @ $ 129mm, with the remaining available cash of $ 2,252mm used to fund the transaction.
- The remaining purchase consideration is funded through $ 1,741mm of incremental debt financing, sized within the 3.0x maximum leverage assumption based on FY27E combined EBITDA.
- Organon's existing debt of $ 8,644mm is assumed to be refinanced with 1% advisory fee on equity purchase price ($ 40mm), 1% debt issuance fee on total debt issues ($ 105mm) along with legal and other fees ($ 10mm), resulting in total debt of $ 10,434mm including the financing of the advisory and legal fee of $ 50mm and total funding of $ 12,792mm.

Scenario 2 – Cash + Stock



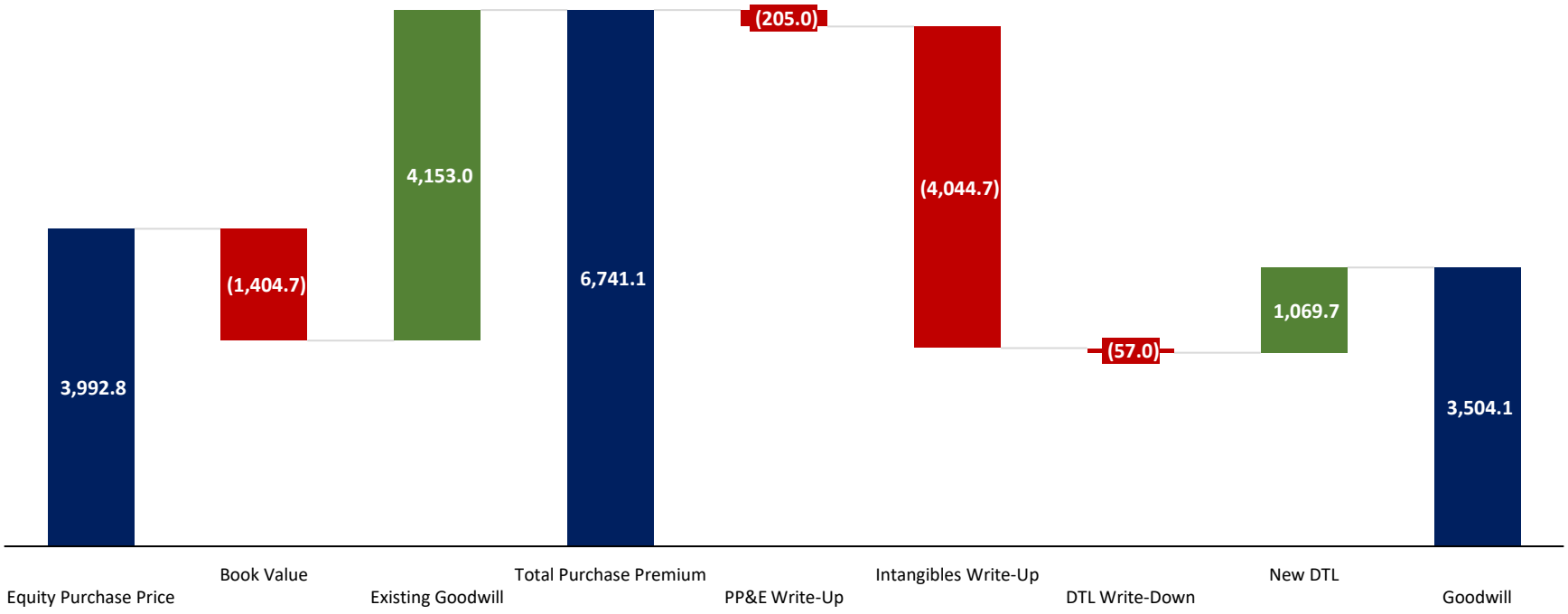
- The $3,993mm equity purchase price is funded with the same $ 2,252mm of available cash as in scenario 1, the remaining purchase consideration is funded through $1,741mm of stock consideration.
- Approximately 94mm new Sun Pharma shares are issued (@ 3.9% dilution) to fund the equity consideration, with no change to the target debt refinancing requirement.
- Organon's existing debt of $ 8,644mm is assumed to be refinanced with 1% advisory fee on equity purchase price ($ 40mm), 1% debt issuance fee on total debt issues ($ 88mm) along with legal and other fees ($ 10mm), resulting in total debt of $ 8,694mm including the financing of the advisory and legal fee of $ 50mm , and total funding of $ 12,775mm.
- We save $ 17mm in debt issuance fee as we take up less debt than in scenario 1

Purchase Accounting Assumptions

(All financials in $mm unless stated otherwise)

- Purchase accounting assumes a 10.0% PP&E write-up ($205mm), with incremental depreciation over 8 years. Of the $6.74bn allocable purchase premium, 40.0% is allocated to indefinite-lived intangibles and 20.0% to definite-lived intangibles, with the latter amortized over five years. A 25.2% tax rate results in a $1.07bn new deferred tax liability.

Equity Purchase Price to Goodwill Bridge:



Treatment of New Debt Issued

(All financials in $mm unless stated otherwise)

- Cash available for debt repayment increases from $ 478mm in FY28E to $ 1,385mm in FY31E, with a 100% cash sweep applied to optional debt repayment while maintaining $ 100mm minimum cash balance on the balance sheet, reducing the opening debt balance from $ 10,435mm to $ 6,727mm and lowering annual interest expense from $ 558mm to $ 410mm at the assumed 5.5% interest rate.

Debt Schedule – Scenario 1 (Cash + Debt):

Cash Flow and Debt Repayment - Scenario 1:	*Units:*		Projected - Combined Period: FY27	FY28	FY29	FY30	FY31
Cash Flow from Operating Activities	*$ M*			$ 2,365.2	$ 2,675.1	$ 2,972.0	$ 3,459.0
(-) Cash Flow from Investing Activities:	*$ M*			(1,197.7)	(1,363.0)	(1,193.4)	(1,199.6)
(-) Lease Principal Repayment:	*$ M*			(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*			(594.8)	(670.3)	(717.7)	(768.6)
Cash Available for Debt Repayment:	*$ M*			**553.0**	**620.5**	**1,038.0**	**1,466.5**
Total Mandatary Repayments:	*$ M*	Min Cash		(104.3)	(98.5)	(92.3)	(81.9)
Cash From Balance Sheet:	*$ M*	$ 100.00		29.2	-	-	(0.0)
Cash Available for Optional Debt Repayment:	*$ M*			**$ 477.9**	**$ 522.0**	**$ 945.7**	**$ 1,384.6**
New Debt Issued							
Interest Rate:	*%*	*5.500%*					
Term:	*Term*	5 Years					
Amortization:	*%*	*1.0%*					
Beginning Debt Balance:	*$ M*			$ 10,434.5	$ 9,852.2	$ 9,231.7	$ 8,193.7
Mandatory Repayments:	*$ M*	Cash Sweep		(104.3)	(98.5)	(92.3)	(81.9)
Optional Repayments:	*$ M*	100.0%		(477.9)	(522.0)	(945.7)	(1,384.6)
Ending Balance	*$ M*		**$ 10,434.5**	**$ 9,852.2**	**$ 9,231.7**	**$ 8,193.7**	**$ 6,727.1**
Interest Rate	*%*			*5.500%*	*5.500%*	*5.500%*	*5.500%*
Interest Expenses	*$ M*			557.9	524.8	479.2	410.3
Foregone Interest on Cash used in Financing the Deal:	*$ M*			68.3	68.3	68.3	68.3
Foregone Interest on Cash used in Debt Repayment:	*$ M*			0.9	0.9	0.9	0.9

- *Minimum cash is 1.0% of combined revenue ($129mm) at close; the sweep operates with a $100mm floor, so the $29mm excess is applied to debt repayment in FY28.*

Treatment of New Debt Issued (Cont'd)

(All financials in $mm unless stated otherwise)

- The Cash + Stock structure avoids $ 1,741mm of incremental acquisition debt by funding the same through equity, while the $ 2,252mm cash contribution remains subject to foregone interest. The $ 8,694mm refinancing debt at close is repaid through a 100% cash sweep to $ 4,679mm by FY31E, lowering annual interest expense from $ 460mm to $ 300mm at the assumed 5.5% interest rate. The use of cash for debt repayment results in an additional $ 1mm annual foregone interest expense.

Debt Schedule – Scenario 2 (Cash + Stock)

Cash Flow and Debt Repayment - Scenario 2:	Units:		Projected - Combined Period: FY27	FY28	FY29	FY30	FY31
Cash Flow from Operating Activities	$M			$ 2,437.5	$ 2,750.4	$ 3,050.4	$ 3,540.7
(-) Cash Flow from Investing Activities:	$M			(1,197.7)	(1,363.0)	(1,193.4)	(1,199.6)
(-) Lease Principal Repayment:	$M			(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	$M			(594.8)	(670.3)	(717.7)	(768.6)
Cash Available for Debt Repayment:	$M			**625.2**	**695.8**	**1,116.5**	**1,548.3**
Total Mandatary Repayments:	$M	Min Cash		(86.9)	(80.4)	(73.4)	(62.3)
Cash From Balance Sheet:	$M	$ 100.00		29.2	-	-	(0.0)
Cash Available for Optional Debt Repayment:	$M			**$ 567.5**	**$ 615.4**	**$ 1,043.0**	**$ 1,486.0**
New Debt Issued							
Interest Rate:	%	*5.500%*					
Term:	Term	5 Years					
Amortization:	%	*1.0%*					
Beginning Debt Balance:	$M			$ 8,693.9	$ 8,039.5	$ 7,343.7	$ 6,227.2
Mandatory Repayments:	$M	Cash Sweep		(86.9)	(80.4)	(73.4)	(62.3)
Optional Repayments:	$M	100.0%		(567.5)	(615.4)	(1,043.0)	(1,486.0)
Ending Balance	$M		**$ 8,693.9**	**$ 8,039.5**	**$ 7,343.7**	**$ 6,227.2**	**$ 4,678.9**
Interest Rate	%			*5.500%*	*5.500%*	*5.500%*	*5.500%*
Interest Expenses	$M			460.2	423.0	373.2	299.9
Foregone Interest on Cash used in Financing the Deal:	$M			68.3	68.3	68.3	68.3
Foregone Interest on Cash used in Debt Repayment:	$M			0.9	0.9	0.9	0.9

Minimum cash is 1.0% of combined revenue ($129mm) at close; the sweep operates with a $100mm floor, so the $29mm excess is applied to debt repayment in FY28.

Key Assumptions for Acquirer and Target's Standalone Projections

Simple Calendarization: Sun Pharma's fiscal year (ending March) is combined with Organon's preceding calendar year (e.g., Sun FY28E + OGN CY27E = combined FY28E) across all projection years, without calendarization.

Revenue Growth	▪ Acquirer: we assume an 8% growth in FY27 decreasing to 6% in FY31, as management expects a higher single digit growth rate in the coming years. ▪ Target: Same as assumed in the DCF
Operating Margins	▪ Acquirer:25.3% rising to 26.2% by the end of the 5-year projected period ▪ Target: Same as assumed in the DCF
Debt / Lease Liabilities Interest Rates	▪ Acquirer: 9.4% in FY26, we assume 8.8% flat for projection period ▪ Target: Existing Debt to be refinanced at an ~5.5% interest rate
Tax rate	▪ Acquirer: Marginal Tax Rate 25.17%; Combined Statements assume the Acquirer's Tax Rate ▪ Target: Marginal Tax Rate 32.5%
Capital Expenditures, Acquisitions and D&A	▪ Acquirer: Capex, Acquisitions, D&A at historical average of 4.8%, 0.5% and 5.1% ▪ Target: Same as assumed in the DCF
Net working Capital	▪ Acquirer: NWC projected based on historical trends and normalized levels. ▪ Target: Same as assumed in the DCF
Existing Debt	▪ Acquirer: Existing Debt of 440.6m assumed to be paid off in FY27E ▪ Target: Existing Debt of 8,644m remained flat in standalone, but will be refinanced in the pro-forma statement

Accretion / (Dilution) Analysis

(All financials in $mm unless stated otherwise)

- The transaction is accretive throughout the projection period, with **EPS accretion increasing from 17.3% in FY28E to 38.5% in FY31E**, driven by the ramp-up of $ 350mm of cost synergies along with the roll-off of $ 280mm of integration costs; accretion is further supported by the amortization of the $ 10,435mm acquisition and refinancing debt tranche to $ 6,727mm in year 4, reducing the annual interest expense from $ 558mm to $ 410mm, while no new shares are issued and the $ 69mm annual foregone interest income remains a fixed drag.

Scenario 1 – Cash + Debt

			Projected - Combined Period:			
		Pro Forma	1	2	3	4
Accretion / (Dilution) Analysis - Scenario 1	*Units:*	FY27	FY28	FY29	FY30	FY31
Acquirer EBIT:	*$ M*	$ 1,732	$ 1,900	$ 2,092	$ 2,238	$ 2,373
Target EBIT:	*$ M*	1,296	1,356	1,334	1,258	1,375
(+) Cost Saving Synergies:	*$ M*	-	35	105	210	350
(-) Merger Integration Costs:	*$ M*	-	(140)	(84)	(56)	-
(-) Amortization of New Intangibles:	*$ M*	-	(270)	(270)	(270)	(270)
(-) Depreciation of PP&E Write-Up:	*$ M*	-	(26)	(26)	(26)	(26)
Pro Forma Combined EBIT:	*$ M*	**3,028**	**2,856**	**3,151**	**3,356**	**3,803**
(-) Combined Interest Expense on Existing Liabilities:	*$ M*	-	(8)	(8)	(8)	(7)
(+) Combined Interest Income on Assets:	*$ M*	-	161	188	218	250
(+) Other Income:	*$ M*	-	26	43	43	43
(-) Foregone Interest on Cash:	*$ M*	-	(69)	(69)	(69)	(69)
(-) Interest Expense on New Debt:	*$ M*	-	(558)	(525)	(479)	(410)
(-) Amortization of Financing Fees:	*$ M*	-	(21)	(21)	(21)	(21)
Pro Forma Earning Before Tax:	*$ M*	**3,028**	**2,387**	**2,760**	**3,039**	**3,588**
(-) Income Tax Expense @ Buyers Marginal Tax Rate:	*$ M*		(601)	(695)	(765)	(903)
(+ / -) Adjustments for NCI / Associates / Joint Venture:	*$ M*		(10)	(11)	(12)	(13)
Pro Forma Combined Net Income:	*$ M*		**$ 1,776**	**$ 2,054**	**$ 2,263**	**$ 2,672**
Acquirer - Standalone Diluted Shares Outstanding:	*M Shares*		2,402	2,402	2,402	2,402
(+) New Shares Issued in the Transaction:	*M Shares*		0.0	0.0	0.0	0.0
Pro Forma Fully Diluted Shares Outstanding:	*$ M*		**2,402**	**2,402**	**2,402**	**2,402**
Pro Forma Combined Diluted EPS:	*$ / Shares*		**$ 0.74**	**$ 0.86**	**$ 0.94**	**$ 1.11**
Acquirer Standalone Diluted EPS:	*$ / Shares*		0.63	0.70	0.75	0.80
Accretion / (Dilution) - $	*$*		**$ 0.11**	**$ 0.16**	**$ 0.19**	**$ 0.31**
Accretion / (Dilution) - %	*%*		**17.3%**	**22.6%**	**25.3%**	**38.5%**
Accretive / Dilutive	*Result*		***Accretive***	***Accretive***	***Accretive***	***Accretive***

Scenario 1 – Output

(All financials in $mm unless stated otherwise)

Sensitivity - Year 1 EPS Accretion/Dilution vs. Offer Price Per Share and Pre-Tax Cost of Debt on New Debt %:

- At the $ 14.00 offer (102.6% premium) and 5.50% pre-tax cost of new debt, FY28E (Year 1) EPS accretion is 17.3%. Year 1 is the trough, as $ 140mm of integration costs outweigh $ 35mm of synergies. The deal is accretive across the whole grid, ranging from 7.7% ($ 16.00 at 6.75% Kd) to 23.1% ($ 12.50 at 4.75% Kd).
- Each $ 0.50 increase in offer price (~$ 143mm of extra equity value, debt-funded as available cash is already fully used) reduces Year 1 accretion by only ~0.7pp. The impact is muted because just part of the extra price reaches the P&L: interest at 5.50% and amortization of definite-lived intangibles (20% of the excess purchase price, over 5 years). The rest goes to indefinite-lived intangibles and goodwill, which are not amortized. Cutting the price from $ 14.00 to $ 12.50 adds just 2.1pp (17.3% to 19.4%).
- Each 25bps increase in the cost of new debt reduces accretion by ~1.3pp, which is equivalent to ~$ 0.90 of offer price (~$ 260mm of equity value). The impact is larger because the rate applies to the full ~$ 10.5B of new debt, including the refinancing of Organon's existing $ 8.6B of debt, not just the $ 1.7B raised for the equity purchase. Moving from 5.50% to 4.75% adds 3.8pp (17.3% to 21.1%). Financing terms, not price, are the main driver of EPS.
- EPS accretion does not constrain the price, as the deal stays accretive even at $ 16.00. The return analysis is more discriminating: at $ 14.00 the deal IRR is 7.2% at 0% synergy realization to 10.5% at 100%, vs. the Acquirer's 7.9% hurdle rate, with the transaction reaching break-even at ~19% synergy realization.

		Offer Price Per Share:							
	Premium:	80.9%	88.1%	95.4%	**102.6%**	109.8%	117.1%	124.3%	131.5%
		12.50	13.00	13.50	**14.00**	14.50	15.00	15.50	16.00
Pre-Tax Cost of Debt on New Debt %:	4.75%	23.1%	22.4%	21.8%	**21.1%**	20.5%	19.9%	19.2%	18.6%
	5.00%	21.8%	21.2%	20.5%	**19.9%**	19.2%	18.6%	17.9%	17.2%
	5.25%	20.6%	19.9%	19.3%	**18.6%**	17.9%	17.2%	16.6%	15.9%
	5.50%	**19.4%**	**18.7%**	**18.0%**	**17.3%**	**16.6%**	**15.9%**	**15.2%**	**14.5%**
	5.75%	18.2%	17.5%	16.7%	**16.0%**	15.3%	14.6%	13.9%	13.2%
	6.00%	17.0%	16.2%	15.5%	**14.8%**	14.0%	13.3%	12.6%	11.8%
	6.25%	15.7%	15.0%	14.2%	**13.5%**	12.7%	12.0%	11.2%	10.5%
	6.50%	14.5%	13.7%	12.9%	**12.2%**	11.4%	10.6%	9.9%	9.1%
	6.75%	13.3%	12.5%	11.7%	**10.9%**	10.1%	9.3%	8.5%	7.7%

Accretion / (Dilution) Analysis (Cont'd)

(All financials in $mm unless stated otherwise)

- The transaction is modestly more accretive in year 1 with this scenario, with EPS accretion increasing from 17.7% in FY28E to 37.5% in FY31E, Funding $ 1,741mm of the purchase price with ~94mm new Sun Pharma shares (~4% dilution) instead of debt, this lowers interest expense on new debt from $ 558mm to $ 460mm in FY28E, making it modestly more accretive than Scenario 1 in year 1 (17.7% vs 17.3%). The advantage does not last: Scenario 1 becomes more accretive from FY29E as its cash sweep repays debt (interest expense falls to $ 410mm by FY31E), while the share dilution is permanent, leaving Cash + Stock ~1.0 pt behind by FY31E (37.5% vs 38.5%). The ~$ 69mm annual foregone interest on cash used is the same as in Scenario 1.

Scenario 2 – Cash + Stock

			Projected - Combined Period:			
		Pro Forma	1	2	3	4
Accretion / (Dilution) Analysis - Scenario 2	*Units:*	FY27	FY28	FY29	FY30	FY31
Acquirer EBIT:	*$ M*	$ 1,732	$ 1,900	$ 2,092	$ 2,238	$ 2,373
Target EBIT:	*$ M*	1,296	1,356	1,334	1,258	1,375
(+) Cost Saving Synergies:	*$ M*	-	35	105	210	350
(-) Merger Integration Costs:	*$ M*	-	(140)	(84)	(56)	-
(-) Amortization of New Intangibles:	*$ M*	-	(270)	(270)	(270)	(270)
(-) Depreciation of PP&E Write-Up:	*$ M*	-	(26)	(26)	(26)	(26)
Pro Forma Combined EBIT:	*$ M*	**3,028**	**2,856**	**3,151**	**3,356**	**3,803**
(-) Combined Interest Expense on Existing Liabilities:	*$ M*	-	(8)	(8)	(8)	(7)
(+) Combined Interest Income on Assets:	*$ M*	-	161	188	218	250
(+) Other Income:	*$ M*	-	26	43	43	43
(-) Foregone Interest on Cash:	*$ M*	-	(69)	(69)	(69)	(69)
(-) Interest Expense on New Debt:	*$ M*	-	(460)	(423)	(373)	(300)
(-) Amortization of Financing Fees:	*$ M*	-	(18)	(18)	(18)	(18)
Pro Forma Earning Before Tax:	*$ M*	**3,028**	**2,488**	**2,865**	**3,149**	**3,702**
(-) Income Tax Expense @ Buyers Marginal Tax Rate:	*$ M*		(626)	(721)	(793)	(932)
(+ / -) Adjustments for NCI / Associates / Joint Venture:	*$ M*		(10)	(11)	(12)	(13)
Pro Forma Combined Net Income:	*$ M*		**$ 1,852**	**$ 2,133**	**$ 2,344**	**$ 2,757**
Acquirer - Standalone Diluted Shares Outstanding:	*M Shares*		2,402	2,402	2,402	2,402
(+) New Shares Issued in the Transaction:	*M Shares*		93.9	93.9	93.9	93.9
Pro Forma Fully Diluted Shares Outstanding:	*$ M*		**2,495**	**2,495**	**2,495**	**2,495**
Pro Forma Combined Diluted EPS:	*$ / Shares*		**$ 0.74**	**$ 0.85**	**$ 0.94**	**$ 1.11**
Acquirer Standalone Diluted EPS:	*$ / Shares*		0.63	0.70	0.75	0.80
Accretion / (Dilution) - $	*$*		**$ 0.11**	**$ 0.16**	**$ 0.19**	**$ 0.30**
Accretion / (Dilution) - %	*%*		**17.7%**	**22.5%**	**24.9%**	**37.5%**
Accretive / Dilutive	*Result*		***Accretive***	***Accretive***	***Accretive***	***Accretive***

Scenario 2 – Output

(All financials in $mm unless stated otherwise)

Sensitivity - Year 1 EPS Accretion/Dilution vs. Offer Price Per Share and Expense Synergy Realization %:

- At the $ 14.00 offer (102.6% premium) and 100% synergy realization, Scenario 2 (Cash + Stock) Year 1 EPS accretion is 17.7%, ~0.4pp above Scenario 1 (17.3%), as stock funds the $ 1,741mm equity slice instead of debt. The deal is accretive across the whole grid, ranging from 13.5% ($ 16.00 at 0% realization) to 20.7% ($ 12.50 at 160%).
- Each $ 0.50 increase in offer price (~$ 143mm of extra equity value per increase) reduces Year 1 accretion by ~0.6pp, slightly less than in Scenario 1. The extra price is paid in stock, so it adds shares (~7.7mm, or ~0.3% dilution using acquirers share price of $ 18.53, per $ 0.50) and amortization of definite-lived intangibles rather than interest, while the acquired earnings stay fixed.
- Each 20pp change in synergy realization moves Year 1 accretion by only ~0.35pp. Year 1 synergies are just $ 35mm at full realization, against $ 140mm of integration costs. The deal is accretive even with zero synergies, so EPS does not test the synergy case.
- EPS accretion does not constrain the price or the synergy assumption: the deal stays accretive at $ 16.00 with no synergies at all @ 13.5%. The return analysis is more discriminating: at $ 14.00 the deal IRR is 7.2% at 0% synergy realization to 10.5% at 100%, vs. the Acquirer's 7.9% hurdle rate, with the transaction reaching break-even at ~19% synergy realization.

		Offer Price Per Share:							
	Premium:	80.9%	88.1%	95.4%	**102.6%**	109.8%	117.1%	124.3%	131.5%
		12.50	13.00	13.50	**14.00**	14.50	15.00	15.50	16.00
Expense Synergy Realization %:	160.00%	20.7%	20.0%	19.4%	**18.7%**	18.1%	17.5%	16.8%	16.2%
	140.00%	20.3%	19.7%	19.0%	**18.4%**	17.8%	17.1%	16.5%	15.9%
	120.00%	20.0%	19.3%	18.7%	**18.1%**	17.4%	16.8%	16.2%	15.5%
	100.00%	**19.6%**	**19.0%**	**18.4%**	**17.7%**	**17.1%**	**16.4%**	**15.8%**	**15.2%**
	80.00%	19.3%	18.7%	18.0%	**17.4%**	16.7%	16.1%	15.5%	14.9%
	60.00%	19.0%	18.3%	17.7%	**17.0%**	16.4%	15.8%	15.1%	14.5%
	40.00%	18.6%	18.0%	17.3%	**16.7%**	16.1%	15.4%	14.8%	14.2%
	20.00%	18.3%	17.6%	17.0%	**16.4%**	15.7%	15.1%	14.5%	13.9%
	0.00%	17.9%	17.3%	16.7%	**16.0%**	15.4%	14.8%	14.1%	13.5%

- *Cost of debt sensitivity is not shown for Scenario 2. Scenario 1, which carries more debt (~$ 10.5B vs. ~$ 8.7B), remains accretive across all tested costs of debt. Scenario 2 has less debt exposed to a higher rate, so it is less sensitive and remains accretive.*

Recommendation

Recommendation

(All financials in $mm unless stated otherwise)

Proceed at $14.00 with cash + debt. The offer requires only ~19% of expected synergies to be realised to create value; we can stretch to $ 15.91 at 40% realisation.

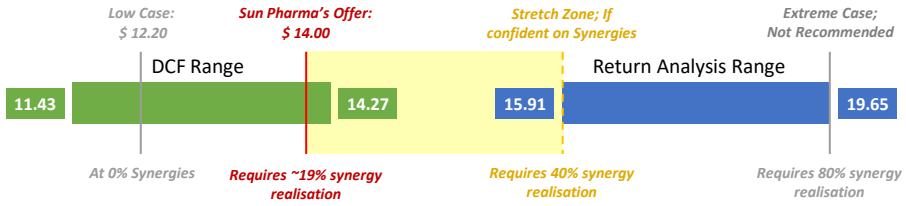
Proceed with Offer / Premium of
$ 14.00
+ 102.6% vs. unaffected

Deal IRR
10.5%
Vs. 7.9% hurdle rate

Required Synergies to Break-even
~19%
Of $ 350mm guided

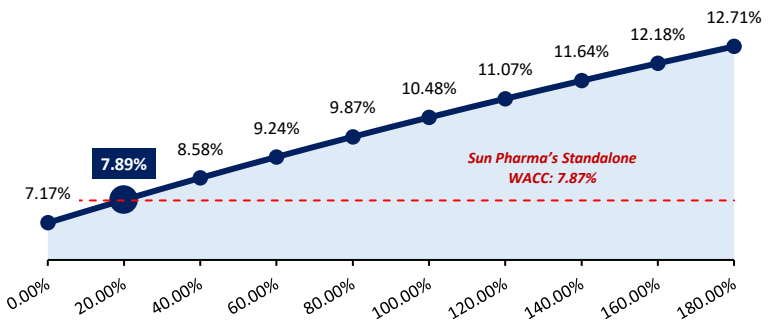
EPS Accretion
17% to 38%
FY28 to FY31 in Scenario 1

Price Corridor



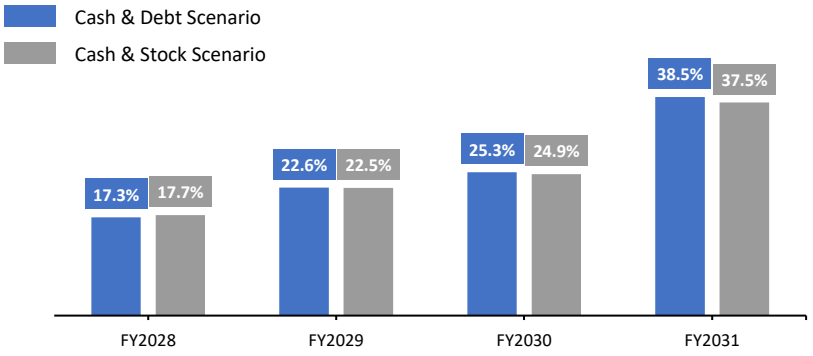
Returns: clears hurdle at 19% synergies

IRR at $ 14.00 Offer Price vs synergy realization



Funding: cash & debt wins by FY31

EPS Accretion by Funding Scenario



Appendix

Target – Weighted Average Cost of Capital Analysis

(All financials in $mm unless stated otherwise)

CAPM

Company	Ticker	Market Equity Value	Total Debt	Total Debt / Capitalization	Total Debt / Equity	Tax Rate	Levered Beta[1]	Unlevered Beta[2]
Viatris Inc.	VTRS	$ 19,549.0	$ 11,990.0	38.0%	61.3%	28.5%	0.89	0.62
Teva Pharmaceutical Industries Limited	TEVA	44,899.0	16,929.0	27.4%	37.7%	23.0%	0.87	0.67
Amneal Pharmaceuticals, Inc.	AMRX	6,297.3	2,748.7	30.4%	43.6%	32.5%	1.25	0.97
Sandoz Group AG	SDZ	35,538.9	5,993.0	14.4%	16.9%	15.0%	0.49	0.43
Hikma Pharmaceuticals PLC	HIK	4,499.1	1,444.0	24.3%	32.1%	25.0%	0.66	0.53
Mean:		**$ 22,156.6**	**$ 7,820.9**	**26.1%**	**35.3%**	**24.8%**	**0.83**	**0.64**
Median:		**19,549.0**	**5,993.0**	**23.5%**	**30.7%**	**25.0%**	**0.87**	**0.62**
Organon & Co	**OGN**	**$ 1,971**	**$ 8,644.0**	**81.4%**	**438.6%**	**32.5%**	**1.52**	**0.38**

Region	% of Revenue	Country Risk Premium
Europe and Canada	26.0%	2.09%
United States	25.8%	1.00%
Asia Pacific and Japan	16.1%	2.58%
China	13.3%	1.76%
Latin America, Middle East, Russia, and Africa	17.2%	10.12%
Others	1.5%	2.99%
Country Risk Premium		**3.24%**

WACC Sensitivities

D / TC \ Unlevered Beta	0.52	0.62	0.72	0.82
3.5%	9.8%	10.1%	10.5%	10.8%
23.5%	9.0%	**9.3%**	9.6%	10.0%
43.5%	8.2%	8.5%	8.8%	9.1%
63.5%	7.5%	7.7%	8.0%	8.3%
83.5%	6.7%	7.0%	7.2%	7.5%

WACC

US 10Y Treasury Yield	5.28%
US Default Spread	0.43%
Risk-Free Rate[3]	4.85%
Unlevered Beta	0.62
Total Debt / Total Capitalization	23.5%
Levered Equity Beta	0.75

	Min	Mid	Max
Mature Market Risk Premium[4]	2.5%	3.5%	4.5%
Country Risk Premium[5]		3.2%	
Equity Cost of Capital[6]	9.9%	10.7%	11.4%
ICE BofA Spread for BB		1.9%	
Pre-Tax Cost of Debt[7]	6.2%	7.2%	8.19%
Post-Tax Cost of Debt	4.2%	4.9%	5.5%
WACC[8]	**8.6%**	**9.3%**	**10.1%**

1. Observed peer equity betas, including each peer's own debt; Organon's own 1.52 is inflated by 81% leverage, so the peer set is used.
2. Leverage removed per peer, βu = βL ÷ [1 + (1 − tax) × D/E]; the 0.62 median is relevered at 23.5% D/TC and 32.5% tax to reach 0.75
3. 4.85% = 10Y US Treasury yield less the US default spread (US CDS − Switzerland CDS), as the US is no longer AAA; a default-free USD rate that matches the USD cash flows
4. Implied ERP from a payout-based DDM on the S&P 500 (the discount rate equating index value to expected payouts, less the risk-free rate); estimated at 3.5%, ranges from 2.5% to 4.5%
5. 3.24%, weighted by revenue region (where Organon earns its cash, not where it is domiciled); source: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6817942
6. Rf + (βL × ERP) + CRP = 4.85% + (0.75 × 3.5%) + 3.24% = 10.7% (9.9%–11.4% across the ERP range)
7. 7.2%, the US 10Y T-Yield plus the ICE BofA spread of 1.91% for BB rated companies.
8. Estimated as: WACC: Ke * E/TC + Kd * (D/TC * (1 –t))

Acquirer – Weighted Average Cost of Capital Analysis

(All financials in ₹mm unless stated otherwise)

CAPM

Company	Ticker	Market Equity Value	Total Debt	Total Debt / Capitalization	Total Debt / Equity	Tax Rate	Levered Beta[1]	Unlevered Beta[2]
Dr Reddys Laboratories Ltd	DRREDDY	₹ 10,01,700.0	₹ 77,341.0	7.2%	7.7%	22.9%	0.24	0.23
Cipla Ltd	CIPLA	10,88,080.0	6,137.7	0.6%	0.6%	25.9%	0.08	0.08
Zydus Lifesciences Ltd	ZYDUSLIFE	11,42,390.0	1,25,030.0	9.9%	10.9%	24.1%	0.37	0.34
Lupin Ltd	LUPIN	9,27,840.0	66,161.8	6.7%	7.1%	22.1%	0.16	0.15
Aurobindo Pharma Ltd	AUROPHARMA	9,63,760.0	80,728.4	7.7%	8.4%	31.5%	0.03	0.03
	Mean:	**₹ 10,24,754.0**	**₹ 71,079.8**	**6.5%**	**6.9%**	**25.3%**	**0.18**	**0.17**
	Median:	**10,01,700.0**	**77,341.0**	**7.2%**	**7.7%**	**24.1%**	**0.16**	**0.15**
Sun Pharmaceutical Industries Ltd	**SUNPHARMA**	**41,19,898.1**	**40,816.1**	**1.0%**	**1.0%**	**25.2%**	**0.12**	**0.12**

Region	% of Revenue	Country Risk Premium
India:	33.0%	2.03%
United States:	29.0%	1.00%
Emerging Market	19.0%	6.21%
Rest of the World	19.0%	2.99%
Country Risk Premium		**2.71%**

WACC Sensitivities

D / TC \ Unlevered Beta	0.00	0.15	0.30	0.45
0.0%	7.6%	8.1%	8.6%	9.1%
7.2%	7.4%	**7.9%**	8.4%	8.9%
14.3%	7.2%	7.7%	8.2%	8.7%
21.5%	6.9%	7.4%	7.9%	8.4%
28.7%	6.7%	7.2%	7.7%	8.2%

WACC

US 10Y Treasury Yield	5.28%
US Default Spread	0.43%
Risk-Free Rate[3]	4.85%
Unlevered Beta	0.15
Total Debt / Total Capitalization	7.2%
Levered Equity Beta	0.16

	Min	Mid	Max
Mature Market Risk Premium[4]	2.5%	3.5%	4.5%
Country Risk Premium[5]		2.7%	
Equity Cost of Capital[6]	8.0%	8.1%	8.3%
ICE BofA Spread for BBB		1.0%	
Pre-Tax Cost of Debt[7]	5.3%	6.3%	7.32%
Post-Tax Cost of Debt	4.0%	4.7%	5.5%
WACC[8]	**7.7%**	**7.9%**	**8.1%**

1. Observed peer equity betas, including each peer's own debt; Sun Pharma's own 0.12 is unfazed by just 1% leverage.
2. Leverage removed per peer, βu = βL ÷ [1 + (1 − tax) × D/E]; the 0.15 median is relevered at 7.2% D/TC and 25.2% tax to reach 0.16
3. 4.85% = 10Y US Treasury yield less the US default spread (US CDS − Switzerland CDS), as the US is no longer AAA; a default-free USD rate that matches the USD cash flows
4. Implied ERP from a payout-based DDM on the S&P 500 (the discount rate equating index value to expected payouts, less the risk-free rate); estimated at 3.5%, ranges from 2.5% to 4.5%
5. 2.71%, weighted by revenue region (where Sun Pharma earns its cash, not where it is domiciled); source: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6817942
6. Rf + (βL × ERP) + CRP = 4.85% + (0.16 × 3.48%) + 2.71% = 8.11% (7.95%–8.27% across the ERP range)
7. 6.3%, the US 10Y T-Yield plus the ICE BofA spread of 1.04% for BBB rated companies .
8. Estimated as: WACC: Ke * E/TC + Kd * (D/TC * (1 –t))

Combined Income Statement – Scenario 1

Combined Income Statement:	Units:	Projected - Combined Period: FY28	FY29	FY30	FY31
(+) Sun Pharma Revenue:	$ M	$ 7,404.3	$ 7,996.6	$ 8,556.4	$ 9,069.7
(+) Organon Revenue:	$ M	6,063.3	6,098.1	6,178.3	6,288.5
Total Revenue:	$ M	**13,467.5**	**14,094.7**	**14,734.7**	**15,358.3**
(-) Cost of Sales:	$ M	(4,248.4)	(4,324.5)	(4,498.6)	(4,553.1)
Gross Profit:	$ M	**9,219.1**	**9,770.2**	**10,236.0**	**10,805.2**
(-) Selling, General & Administration Expenses:	$ M	(4,566.4)	(4,898.1)	(5,226.5)	(5,480.2)
(-) Research & Development:	$ M	(710.4)	(728.7)	(762.4)	(795.1)
(+) OpEx Synergies:	$ M	35.0	105.0	210.0	350.0
(-) Merger Integration Costs:	$ M	(140.0)	(84.0)	(56.0)	-
(-) Amortization of New Intangibles:	$ M	(269.6)	(269.6)	(269.6)	(269.6)
(-) Depreciation of PP&E Write-Up:	$ M	(25.6)	(25.6)	(25.6)	(25.6)
(-) Acquired in-process research and development and mil	$ M	(30.1)	(30.3)	(30.7)	(31.2)
(-) Depreciation & Amortization:	$ M	(656.0)	(687.6)	(719.7)	(750.8)
Operating Expenses:	$ M	**(6,363.1)**	**(6,619.0)**	**(6,880.5)**	**(7,002.6)**
Operating Profit:	$ M	**2,856.0**	**3,151.2**	**3,355.5**	**3,802.6**
(-) Interest Expense:	$ M	(8.3)	(8.2)	(7.8)	(6.7)
(+) Interest Income:	$ M	161.2	188.3	217.9	249.5
(-) Foregone Interest on Cash:	$ M	(69.1)	(69.1)	(69.1)	(69.1)
(-) Interest Expense on New Debt:	$ M	(557.9)	(524.8)	(479.2)	(410.3)
(-) Amortization of Financing Fees:	$ M	(21.1)	(21.1)	(21.1)	(21.1)
(+/-) Other Income / (Expense):	$ M	26.2	43.5	43.1	43.0
(-) Goodwill Impairment:	$ M	-	-	-	-
Pre-Tax Income:	$ M	**2,387.1**	**2,759.8**	**3,039.3**	**3,587.9**
(-) Income Tax:	$ M	(600.8)	(694.6)	(765.0)	(903.1)
Net Income before JV and Associates:	$ M	**1,786.2**	**2,065.1**	**2,274.3**	**2,684.8**
(+/-) Share of Profit/(Loss) from JV and Associates:	$ M	(5.2)	(5.7)	(6.2)	(6.6)
Net Income before Non-Controlling Interest:	$ M	**1,781.1**	**2,059.4**	**2,268.1**	**2,678.2**
(-) Non-Controlling Interest:	$ M	(4.7)	(5.2)	(5.6)	(6.0)
Net Income to Parent:	$ M	**$ 1,776.3**	**$ 2,054.2**	**$ 2,262.5**	**$ 2,672.2**
(+) Acquirer - Diluted Shares:	M Shares	2,401.6	2,401.6	2,401.6	2,401.6
(+) Shares Issued in Transaction:	M Shares	0.0	0.0	0.0	0.0
Total Diluted Shares:	M Shares	**2,401.6**	**2,401.6**	**2,401.6**	**2,401.6**

Combined Balance Sheet – Scenario 1

Balance Sheet Combination:	Units:	Acquirer FY27	Target FY27	Pro-Forma Adjustments: Debit	Credit	FY27	Projected FY28	FY29	FY30	FY31
ASSETS:										
Current Assets:										
Cash & Cash Equivalents:	$ M	$ 925.8	$ 1,455.7	$ -	$ (2,252.3)	$ 129.2	$ 100.0	$ 100.0	$ 100.0	$ 100.0
Accounts Receivable:	$ M	1,885.3	1,334.7	-	-	3,220.0	3,541.8	3,862.5	4,111.5	4,355.9
Inventory & Other Current Assets:	$ M	4,711.3	2,400.0	-	-	7,111.3	7,607.9	8,268.1	8,766.7	9,183.5
Total Current Assets:	$ M	**7,522.4**	**5,190.4**			**10,460.5**	**11,249.7**	**12,230.6**	**12,978.2**	**13,639.4**
Long-Term Assets:										
Plants, Property & Equipment (Including Intangibles):	$ M	2,749.6	2,050.2	4,249.7	-	9,049.5	8,896.8	8,754.8	8,616.9	8,483.3
Operating Lease Assets:	$ M	131.1	-	-	-	131.1	148.2	170.7	182.7	193.6
Goodwill:	$ M	1,061.5	4,153.0	3,504.1	(4,153.0)	4,565.6	4,565.6	4,565.6	4,565.6	4,565.6
Other Long-Term Assets:	$ M	988.6	1,975.3	-	-	2,964.0	3,091.2	3,227.4	3,290.6	3,359.6
Total Long-Term Assets:	$ M	**4,930.9**	**8,178.5**			**16,710.2**	**16,701.9**	**16,718.5**	**16,655.8**	**16,602.2**
TOTAL ASSETS:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
LIABILITIES & EQUITY:										
Current Liabilities:										
Accounts Payable:	$ M	$ 877.5	$ 849.3	-	-	1,726.9	$ 1,750.8	$ 1,817.8	$ 1,870.8	$ 1,888.9
Accrued Expenses & Other:	$ M	1,371.2	1,348.6	-	-	2,719.7	2,815.9	2,914.8	3,004.8	3,118.1
Total Current Liabilities:	$ M	**2,248.7**	**2,197.9**			**4,446.6**	**4,566.7**	**4,732.6**	**4,875.6**	**5,007.1**
Long-Term Liabilities:										
Existing Debt:	$ M	-	8,644.0	(8,644.0)	-	-	-	-	-	-
New Transaction Debt:	$ M	-	-	(105.4)	10,539.9	10,434.5	9,873.3	9,273.9	8,256.9	6,811.4
Operating Lease Liabilities:	$ M	93.6	-	-	-	93.6	90.87	92.06	81.18	67.93
Net Deferred Tax Liability (DTL):	$ M	40.8	57.0	(57.0)	1,069.7	1,110.5	1,036.1	961.8	887.5	813.2
Other Long-Term Liabilities:	$ M	137.1	1,065.3	-	-	1,202.4	1,243.2	1,291.6	1,317.2	1,347.3
Total Long-Term Liabilities:	$ M	**271.5**	**9,766.3**			**12,840.9**	**12,243.5**	**11,619.3**	**10,542.8**	**9,039.9**
Total Liabilities:	$ M	**$ 2,520.2**	**$ 11,964.2**			**$ 17,287.5**	**$ 16,810.2**	**$ 16,352.0**	**$ 15,418.4**	**$ 14,046.9**
Common Shareholders' Equity:	$ M	**$ 9,933.2**	**$ 1,404.7**	**(1,454.6)**	**-**	**9,883.2**	$ 11,141.3	$ 12,597.2	$ 14,215.6	$ 16,194.6
TOTAL LIABILITIES & EQUITY:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
Balance Sheet Check:		*OK!*	*OK!*			*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Combined Cash Flow Statement – Scenario 1

Cash Flow and Debt Repayment:	Units:		Projected - Combined Period: FY28	FY29	FY30	FY31
Net Income:			**$ 1,786.2**	**$ 2,065.1**	**$ 2,274.3**	**$ 2,684.8**
(+) Depreciation and Amortization:			656.0	687.6	719.7	750.8
(+) Depreciation of PP&E Write-Up:	*$ M*		25.6	25.6	25.6	25.6
(+) Amortization of New Intangibles:	*$ M*		269.6	269.6	269.6	269.6
(+) Amortization of Financing Fees:	*$ M*		21.1	21.1	21.1	21.1
(-) New Deferred Income Tax:	*$ M*		(74.3)	(74.3)	(74.3)	(74.3)
(+) Acquired in-process research and development and mi	*$ M*		(30.1)	(30.3)	(30.7)	(31.2)
(+) Goodwill Impairment:	*$ M*		-	-	-	-
(+/-) Deferred Income Tax:	*$ M*		-	-	-	-
(+) Stock-based Compensation:	*$ M*		66.7	61.0	61.8	62.9
(+/-) Other Items:	*$ M*		(90.6)	(95.1)	(9.6)	(13.2)
(+/-) Change in Working Capital:	*$ M*		(265.0)	(255.3)	(285.6)	(237.1)
Cash Flow from Operations:	*$ M*		**$ 2,365.2**	**$ 2,675.1**	**$ 2,972.0**	**$ 3,459.0**
(+/-) Net Capex:	*$ M*		(542.9)	(572.4)	(601.8)	(629.8)
(+/-) Disposal / Acquisition of Subsidiary:	*$ M*		(195.3)	(207.7)	(213.6)	(220.0)
(+/-) Net Investments:	*$ M*		(429.2)	(552.4)	(347.1)	(318.3)
(+/-) Acquired in-process research and development and r	*$ M*		(30.3)	(30.5)	(30.9)	(31.4)
Cash Flow from Investing:	*$ M*		**$ (1,197.7)**	**$ (1,363.0)**	**$ (1,193.4)**	**$ (1,199.6)**
(+) Proceeds from Borrowings:	*$ M*		-	-	-	-
(-) Repayment of Borrowings:	*$ M*		-	-	-	-
(-) New Debt Principal Repayments:	*$ M*		(582.2)	(620.5)	(1,038.0)	(1,466.5)
(-) Lease Principal Repayment:	*$ M*		(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*		(594.8)	(670.3)	(717.7)	(768.6)
(-) Payment of Issuance Cost:	*$ M*		-	-	-	-
(-) Employee withholding taxes related to stock-based aw	*$ M*		-	-	-	-
(+/-) Other Items:	*$ M*		-	-	-	-
Cash Flow from Financing:	*$ M*		**$ (1,196.8)**	**$ (1,312.1)**	**$ (1,778.6)**	**$ (2,259.4)**
Net Change in Cash:	*$ M*		**(29.2)**	**-**	**(0.0)**	**0.0**
Total Cash Balance:	*$ M*	**129.2**	**100.0**	**100.0**	**100.0**	**100.0**

Combined Income Statement – Scenario 2

Combined Income Statement:	Units:	Projected - Combined Period: FY28	FY29	FY30	FY31
(+) Sun Pharma Revenue:	$ M	$ 7,404.3	$ 7,996.6	$ 8,556.4	$ 9,069.7
(+) Organon Revenue:	$ M	6,063.3	6,098.1	6,178.3	6,288.5
Total Revenue:	$ M	**13,467.5**	**14,094.7**	**14,734.7**	**15,358.3**
(-) Cost of Sales:	$ M	(4,248.4)	(4,324.5)	(4,498.6)	(4,553.1)
Gross Profit:	$ M	**9,219.1**	**9,770.2**	**10,236.0**	**10,805.2**
(-) Selling, General & Administration Expenses:	$ M	(4,566.4)	(4,898.1)	(5,226.5)	(5,480.2)
(-) Research & Development:	$ M	(710.4)	(728.7)	(762.4)	(795.1)
(+) OpEx Synergies:	$ M	35.0	105.0	210.0	350.0
(-) Merger Integration Costs:	$ M	(140.0)	(84.0)	(56.0)	-
(-) Amortization of New Intangibles:	$ M	(269.6)	(269.6)	(269.6)	(269.6)
(-) Depreciation of PP&E Write-Up:	$ M	(25.6)	(25.6)	(25.6)	(25.6)
(-) Acquired in-process research and development and mil	$ M	(30.1)	(30.3)	(30.7)	(31.2)
(-) Depreciation & Amortization:	$ M	(656.0)	(687.6)	(719.7)	(750.8)
Operating Expenses:	$ M	**(6,363.1)**	**(6,619.0)**	**(6,880.5)**	**(7,002.6)**
Operating Profit:	$ M	**2,856.0**	**3,151.2**	**3,355.5**	**3,802.6**
(-) Interest Expense:	$ M	(8.3)	(8.2)	(7.8)	(6.7)
(+) Interest Income:	$ M	161.2	188.3	217.9	249.5
(-) Foregone Interest on Cash:	$ M	(69.1)	(69.1)	(69.1)	(69.1)
(-) Interest Expense on New Debt:	$ M	(460.2)	(423.0)	(373.2)	(299.9)
(-) Amortization of Financing Fees:	$ M	(17.6)	(17.6)	(17.6)	(17.6)
(+/-) Other Income / (Expense):	$ M	26.2	43.5	43.1	43.0
(-) Goodwill Impairment:	$ M	-	-	-	-
Pre-Tax Income:	$ M	**2,488.3**	**2,865.1**	**3,148.8**	**3,701.8**
(-) Income Tax:	$ M	(626.3)	(721.1)	(792.6)	(931.8)
Net Income before JV and Associates:	$ M	**1,862.0**	**2,143.9**	**2,356.3**	**2,770.1**
(+/-) Share of Profit/(Loss) from JV and Associates:	$ M	(5.2)	(5.7)	(6.2)	(6.6)
Net Income before Non-Controlling Interest:	$ M	**1,856.8**	**2,138.2**	**2,350.1**	**2,763.5**
(-) Non-Controlling Interest:	$ M	(4.7)	(5.2)	(5.6)	(6.0)
Net Income to Parent:	$ M	**$ 1,852.1**	**$ 2,133.0**	**$ 2,344.5**	**$ 2,757.5**
(+) Acquirer - Diluted Shares:	M Shares	2,401.6	2,401.6	2,401.6	2,401.6
(+) Shares Issued in Transaction:	M Shares	93.9	93.9	93.9	93.9
Total Diluted Shares:	M Shares	**2,495.4**	**2,495.4**	**2,495.4**	**2,495.4**

Combined Balance Sheet – Scenario 2

Balance Sheet Combination:	Units:	Acquirer FY27	Target FY27	Pro-Forma Adjustments: Debit	Credit	FY27	Projected FY28	FY29	FY30	FY31
ASSETS:										
Current Assets:										
Cash & Cash Equivalents:	$ M	$ 925.8	$ 1,455.7	$ -	$ (2,252.3)	$ 129.2	$ 100.0	$ 100.0	$ 100.0	$ 100.0
Accounts Receivable:	$ M	1,885.3	1,334.7	-	-	3,220.0	3,541.8	3,862.5	4,111.5	4,355.9
Inventory & Other Current Assets:	$ M	4,711.3	2,400.0	-	-	7,111.3	7,607.9	8,268.1	8,766.7	9,183.5
Total Current Assets:	$ M	**7,522.4**	**5,190.4**			**10,460.5**	**11,249.7**	**12,230.6**	**12,978.2**	**13,639.4**
Long-Term Assets:										
Plants, Property & Equipment (Including Intangibles):	$ M	2,749.6	2,050.2	4,249.7	-	9,049.5	8,896.8	8,754.8	8,616.9	8,483.3
Operating Lease Assets:	$ M	131.1	-	-	-	131.1	148.2	170.7	182.7	193.6
Goodwill:	$ M	1,061.5	4,153.0	3,504.1	(4,153.0)	4,565.6	4,565.6	4,565.6	4,565.6	4,565.6
Other Long-Term Assets:	$ M	988.6	1,975.3	-	-	2,964.0	3,091.2	3,227.4	3,290.6	3,359.6
Total Long-Term Assets:	$ M	**4,930.9**	**8,178.5**			**16,710.2**	**16,701.9**	**16,718.5**	**16,655.8**	**16,602.2**
TOTAL ASSETS:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
LIABILITIES & EQUITY:										
Current Liabilities:										
Accounts Payable:	$ M	$ 877.5	$ 849.3	-	-	1,726.9	$ 1,750.8	$ 1,817.8	$ 1,870.8	$ 1,888.9
Accrued Expenses & Other:	$ M	1,371.2	1,348.6	-	-	2,719.7	2,815.9	2,914.8	3,004.8	3,118.1
Total Current Liabilities:	$ M	**2,248.7**	**2,197.9**			**4,446.6**	**4,566.7**	**4,732.6**	**4,875.6**	**5,007.1**
Long-Term Liabilities:										
Existing Debt:	$ M	-	8,644.0	(8,644.0)	-	-	-	-	-	-
New Transaction Debt:	$ M	-	-	(87.8)	8,781.7	8,693.9	8,057.0	7,378.8	6,279.9	4,749.2
Operating Lease Liabilities:	$ M	93.6	-	-	-	93.6	90.87	92.06	81.18	67.93
Net Deferred Tax Liability (DTL):	$ M	40.8	57.0	(57.0)	1,069.7	1,110.5	1,036.1	961.8	887.5	813.2
Other Long-Term Liabilities:	$ M	137.1	1,065.3	-	-	1,202.4	1,243.2	1,291.6	1,317.2	1,347.3
Total Long-Term Liabilities:	$ M	**271.5**	**9,766.3**			**11,100.4**	**10,427.2**	**9,724.3**	**8,565.8**	**6,977.6**
Total Liabilities:	$ M	**$ 2,520.2**	**$ 11,964.2**			**$ 15,547.0**	**$ 14,993.9**	**$ 14,456.9**	**$ 13,441.4**	**$ 11,984.7**
Common Shareholders' Equity:	$ M	**$ 9,933.2**	**$ 1,404.7**	**(1,454.6)**	**1,740.5**	**11,623.8**	$ 12,957.6	$ 14,492.3	$ 16,192.6	$ 18,256.9
TOTAL LIABILITIES & EQUITY:	$ M	**$ 12,453.3**	**$ 13,368.9**			**$ 27,170.7**	**$ 27,951.5**	**$ 28,949.2**	**$ 29,634.0**	**$ 30,241.6**
Balance Sheet Check:		*OK!*	*OK!*			*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Combined Cash Flow Statement – Scenario 2

Cash Flow and Debt Repayment:	Units:		Projected - Combined Period: FY28	FY29	FY30	FY31
Net Income:			**$ 1,862.0**	**$ 2,143.9**	**$ 2,356.3**	**$ 2,770.1**
(+) Depreciation and Amortization:			656.0	687.6	719.7	750.8
(+) Depreciation of PP&E Write-Up:	*$ M*		25.6	25.6	25.6	25.6
(+) Amortization of New Intangibles:	*$ M*		269.6	269.6	269.6	269.6
(+) Amortization of Financing Fees:	*$ M*		17.6	17.6	17.6	17.6
(-) New Deferred Income Tax:	*$ M*		(74.3)	(74.3)	(74.3)	(74.3)
(+) Acquired in-process research and development and mi	*$ M*		(30.1)	(30.3)	(30.7)	(31.2)
(+) Goodwill Impairment:	*$ M*		-	-	-	-
(+/-) Deferred Income Tax:	*$ M*		-	-	-	-
(+) Stock-based Compensation:	*$ M*		66.7	61.0	61.8	62.9
(+/-) Other Items:	*$ M*		(90.6)	(95.1)	(9.6)	(13.2)
(+/-) Change in Working Capital:	*$ M*		(265.0)	(255.3)	(285.6)	(237.1)
Cash Flow from Operations:	*$ M*		**$ 2,437.5**	**$ 2,750.4**	**$ 3,050.4**	**$ 3,540.7**
(+/-) Net Capex:	*$ M*		(542.9)	(572.4)	(601.8)	(629.8)
(+/-) Disposal / Acquisition of Subsidiary:	*$ M*		(195.3)	(207.7)	(213.6)	(220.0)
(+/-) Net Investments:	*$ M*		(429.2)	(552.4)	(347.1)	(318.3)
(+/-) Acquired in-process research and development and r	*$ M*		(30.3)	(30.5)	(30.9)	(31.4)
Cash Flow from Investing:	*$ M*		**$ (1,197.7)**	**$ (1,363.0)**	**$ (1,193.4)**	**$ (1,199.6)**
(+) Proceeds from Borrowings:	*$ M*		-	-	-	-
(-) Repayment of Borrowings:	*$ M*		-	-	-	-
(-) New Debt Principal Repayments:	*$ M*		(654.5)	(695.8)	(1,116.5)	(1,548.3)
(-) Lease Principal Repayment:	*$ M*		(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	*$ M*		(594.8)	(670.3)	(717.7)	(768.6)
(-) Payment of Issuance Cost:	*$ M*		-	-	-	-
(-) Employee withholding taxes related to stock-based aw	*$ M*		-	-	-	-
(+/-) Other Items:	*$ M*		-	-	-	-
Cash Flow from Financing:	*$ M*		**$ (1,269.0)**	**$ (1,387.4)**	**$ (1,857.0)**	**$ (2,341.1)**
Net Change in Cash:	*$ M*		**(29.2)**	**-**	**(0.0)**	**0.0**
Total Cash Balance:	*$ M*	**129.2**	**100.0**	**100.0**	**100.0**	**100.0**

Target Income Statement

Seller - Income Statement:	Units:	Historical: CY23	CY24	CY25	Projected: CY26	CY27	CY28	CY29	CY30
Revenue From Segments:									
(+) Women's Health:	*$ M*	1,702.0	1,777.0	1,752.00	1,646.4	1,629.9	1,629.9	1,646.2	1,670.9
(+) Biosimilars:	*$ M*	593.0	662.0	691.00	725.6	754.6	777.2	800.5	816.5
(+) Cardiovascular:	*$ M*	1,460.0	1,323.0	1,135.00	1,021.5	950.0	902.5	875.4	875.4
(+) Respiratory:	*$ M*	1,064.0	1,018.0	842.00	757.8	704.8	669.5	649.4	649.4
(+) Non-Opioid Pain, Bone and Dermatology:	*$ M*	782.0	867.0	987.00	1,066.0	1,140.6	1,209.0	1,269.5	1,320.2
(+) Others:	*$ M*	662.0	756.0	809.00	849.5	883.4	909.9	937.2	956.0
Total Revenue:	*$ M*	**6,263.0**	**6,403.0**	**6,216.0**	**6,066.7**	**6,063.3**	**6,098.1**	**6,178.3**	**6,288.5**
(-) Cost of Sales:	*$ M*	(2,515.0)	(2,688.0)	(2,903.00)	(2,851.3)	(2,819.4)	(2,805.1)	(2,872.9)	(2,829.8)
Gross Profit:	*$ M*	**3,748.0**	**3,715.0**	**3,313.0**	**3,215.3**	**3,243.8**	**3,293.0**	**3,305.4**	**3,458.7**
Operating Expenses:									
(-) Selling, General & Administration Expenses:	*$ M*	(1,657.0)	(1,483.0)	(1,360.00)	(1,304.3)	(1,273.3)	(1,341.6)	(1,421.0)	(1,446.4)
(-) Research & Development Expenses:	*$ M*	(528.0)	(469.0)	(366.00)	(303.3)	(303.2)	(304.9)	(308.9)	(314.4)
(-) Acquired in-process research and development and milestones:	*$ M*	(8.0)	(81.0)	(6.00)	(30.1)	(30.1)	(30.3)	(30.7)	(31.2)
(-) Depreciation & Amortization:	*$ M*	(236.0)	(277.0)	(361.00)	(281.1)	(281.0)	(282.6)	(286.3)	(291.4)
Total Operating Expenses:	*$ M*	**(2,429.0)**	**(2,310.0)**	**(2,093.0)**	**(1,918.9)**	**(1,887.5)**	**(1,959.3)**	**(2,046.9)**	**(2,083.4)**
Operating Income:	*$ M*	**1,319.0**	**1,405.0**	**1,220.0**	**1,296.4**	**1,356.3**	**1,333.6**	**1,258.5**	**1,375.3**
(-) Interest Expense:	*$ M*	(527.0)	(520.0)	(504.00)	(425.3)	(425.3)	(475.4)	(475.4)	(475.4)
(+/-) Other Income / (Expense):	*$ M*	(119.0)	(78.0)	10.00	30.3	42.4	61.0	61.8	62.9
(-) Goodwill Impairment:	*$ M*	-	-	(301.00)	-	-	-	-	-
Pre-Tax Income:	*$ M*	**673.0**	**807.0**	**425.0**	**901.5**	**973.5**	**919.2**	**844.9**	**962.7**
(+/-) Income Tax (Expense) / Income:	*$ M*	350.0	57.0	(238.00)	(293.0)	(316.4)	(298.7)	(274.6)	(312.9)
Net Income:	*$ M*	**1,023.0**	**864.0**	**187.0**	**608.5**	**657.1**	**620.5**	**570.3**	**649.9**
EBITDA	*$ M*	**1,555.0**	**1,682.0**	**1,581.0**	**1,577.5**	**1,637.3**	**1,616.2**	**1,544.8**	**1,666.7**
Earnings Per Share (EPS):	*$ / Share*	**4.0**	**3.4**	**0.7**	**2.4**	**2.6**	**2.4**	**2.2**	**2.5**
Average Diluted Shares:	*M Shares*	256.3	256.3	256.3	256.3	256.3	256.3	256.3	256.3

Target Balance Sheet

Seller - Balance Sheet:	Units:	Historical: CY23	CY24	CY25	Projected: CY26	CY27	CY28	CY29	CY30
ASSETS:									
Current Assets:									
Cash & Cash Equivalents:	$ M		675.0	574.0	1,455.7	1,814.9	2,099.3	2,414.3	2,844.7
Accounts Receivable:	$ M		1,358.0	1,331.0	1,334.7	1,394.6	1,463.5	1,544.6	1,635.0
Inventory:	$ M		1,321.0	1,406.0	1,368.6	1,353.3	1,374.5	1,422.1	1,414.9
Other Current Assets:	$ M		994.0	1,033.0	1,031.3	1,061.1	1,097.7	1,143.0	1,194.8
Total Current Assets:	$ M		**4,348.0**	**4,344.0**	**5,190.4**	**5,623.9**	**6,035.0**	**6,523.9**	**7,089.5**
Long-Term Assets:									
Plants, Property & Equipment (Including Intangibles):	$ M		2,582.0	2,433.0	2,050.2	2,107.3	2,164.8	2,223.0	2,282.2
Goodwill:	$ M		4,680.0	4,153.0	4,153.0	4,153.0	4,153.0	4,153.0	4,153.0
Other Long-Term Assets:	$ M		1,491.0	1,539.0	1,577.3	1,697.7	1,829.4	1,853.5	1,886.6
Total Long-Term Assets:	$ M		**8,753.0**	**8,125.0**	**7,780.5**	**7,958.0**	**8,147.2**	**8,229.5**	**8,321.8**
Assets Classified as Held for Sale:	$ M		-	398.0	398.0	398.0	398.0	398.0	398.0
TOTAL ASSETS:	$ M		**13,101.0**	**12,867.0**	**13,368.9**	**13,979.9**	**14,580.2**	**15,151.4**	**15,809.3**
LIABILITIES & EQUITY:									
Current Liabilities:									
Accounts Payable:	$ M		1,153.0	952.0	849.3	788.2	762.3	741.4	691.7
Accrued Liabilities:	$ M		1,411.0	1,335.0	1,213.3	1,152.0	1,097.7	1,081.2	1,069.1
Income Tax Payable:	$ M		134.0	85.0	135.2	146.0	137.9	126.7	144.4
Total Current Liabilities:	$ M		**2,698.0**	**2,372.0**	**2,197.9**	**2,086.3**	**1,997.8**	**1,949.3**	**1,905.2**
Long-Term Liabilities:									
Total Debt:	$ M		8,880.0	8,644.0	8,644.0	8,644.0	8,644.0	8,644.0	8,644.0
Deferred Income Tax:	$ M		74.0	57.0	57.0	57.0	57.0	57.0	57.0
Other Long-Term Liabilities:	$ M		977.0	1,008.0	1,031.3	1,061.1	1,097.7	1,112.1	1,131.9
Total Long-Term Liabilities:	$ M		**9,931.0**	**9,709.0**	**9,732.3**	**9,762.1**	**9,798.7**	**9,813.1**	**9,832.9**
Liabilities Classified as Held for Sale:	$ M		-	34.0	34.0	34.0	34.0	34.0	34.0
Total Liabilities:	$ M		**12,629.0**	**12,115.0**	**11,964.2**	**11,882.3**	**11,830.5**	**11,796.4**	**11,772.1**
Common Shareholders' Equity:	$ M		472.0	752.0	**1,404.7**	**2,097.5**	**2,749.8**	**3,355.0**	**4,037.2**
TOTAL LIABILITIES & EQUITY:	$ M		**13,101.0**	**12,867.0**	**13,368.9**	**13,979.9**	**14,580.2**	**15,151.4**	**15,809.3**
Balance Sheet Check:			*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Target Cash Flow Statement

Seller - Cash Flow Statement:	Units:	Historical: CY23	CY24	CY25	Projected: CY26	CY27	CY28	CY29	CY30
Net Income:	$ M	**1,023**	**864**	**187**	**608.5**	**657.1**	**620.5**	**570.3**	**649.9**
(+) Depreciation and Amortization:	$ M	236	277	361	281.1	281.0	282.6	286.3	291.4
(+) Acquired in-process research and development and milestones:	$ M	8	81	6	30.1	30.1	30.3	30.7	31.2
(+) Goodwill Impairment:	$ M	-	-	301	-	-	-	-	-
(+/-) Deferred Income Tax:	$ M	(485)	(160)	63	-	-	-	-	-
(+) Stock-based Compensation:	$ M	101	105	77	72.8	66.7	61.0	61.8	62.9
(+/-) Other Items:	$ M	71	50	(48)	(15.0)	(90.6)	(95.1)	(9.6)	(13.2)
Changes in Working Capital:									
(+/-) Change in Accounts Receivable:	$ M	(212)	383	79	(3.7)	(59.9)	(69.0)	(81.0)	(90.4)
(+/-) Change in Inventory:	$ M	(230)	(131)	(13)	37.4	15.3	(21.2)	(47.6)	7.2
(+/-) Changes in Other Current Assets:	$ M	(10)	(236)	(32)	1.7	(29.7)	(36.6)	(45.3)	(51.8)
(+/-) Change in Accounts Payable:	$ M	163	(157)	(217)	(102.7)	(61.1)	(26.0)	(20.9)	(49.7)
(+/-) Change in Accured Liabilities:	$ M	102	(101)	(142)	(121.7)	(61.3)	(54.4)	(16.5)	(12.2)
(+/-) Income Taxes Payable:	$ M	16	(65)	(61)	50.2	10.8	(8.1)	(11.1)	17.7
(+/-) Others:	$ M	16	29	139	-	-	-	-	-
Cash Flow from Operations:	$ M	**799**	**939**	**700**	**838.8**	**758.3**	**683.9**	**717.0**	**842.9**
(+/-) Net Capex:	$ M	(250)	(171)	(161)	252.9	(187.0)	(188.1)	(190.5)	(193.9)
(+/-) Acquired in-process research and development and milestones:	$ M	(8)	(71)	(30)	(30.3)	(30.3)	(30.5)	(30.9)	(31.4)
(+/-) Acquisition:	$ M	(2)	(271)	(199)	(151.0)	(150.9)	(151.8)	(153.8)	(156.5)
Cash Flow from Investing:	$ M	**(260)**	**(513)**	**(390)**	**71.6**	**(368.2)**	**(370.3)**	**(375.2)**	**(381.9)**
(+) Proceeds from Borrowings:	$ M	80	1,186	1,055	-	-	-	-	-
(-) Repayment of Borrowings:	$ M	(338)	(1,197)	(1,513)	-	-	-	-	-
(-) Payment of Issuance Cost:	$ M	-	(38)	-	-	-	-	-	-
(-) Employee withholding taxes related to stock-based awards:	$ M	(17)	(22)	(15)	-	-	-	-	-
(-) Dividends Payment:	$ M	(294)	(297)	(88)	(28.6)	(30.9)	(29.2)	(26.8)	(30.6)
Cash Flow from Financing:	$ M	**(569)**	**(368)**	**(561)**	**(28.6)**	**(30.9)**	**(29.2)**	**(26.8)**	**(30.6)**
(+/-) Fx Effects in Cash:	$ M	17	(76)	150	-	-	-	-	-
Net Change in Cash:	$ M	**(13)**	**(18)**	**(101)**	**881.7**	**359.2**	**284.4**	**315.0**	**430.4**
Beginning Cash:	$ M				**574.0**	**1,455.7**	**1,814.9**	**2,099.3**	**2,414.3**
Ending Cash:	$ M			**574.0**	**1,455.7**	**1,814.9**	**2,099.3**	**2,414.3**	**2,844.7**

Acquirer Income Statement

		Historical:			Projected:				
Acquirer - Income Statement:	***Units:***	**FY24**	**FY25**	**FY26**	**FY27**	**FY28**	**FY29**	**FY30**	**FY31**
Revenue:									
(+) Revenue From Contracts with Customer:	*$ M*	5,728.0	6,089.7	6,285.2	6,788.1	7,331.1	7,917.6	8,471.8	8,980.1
(+) Other Operating Revenue:	*$ M*	88.6	62.9	26.1	67.7	73.2	79.0	84.5	89.6
Total Revenue:	*$ M*	**5,816.6**	**6,152.5**	**6,311.3**	**6,855.8**	**7,404.3**	**7,996.6**	**8,556.4**	**9,069.7**
(-) Cost of Sales:	*$ M*	(1,278.9)	(1,257.6)	(1,246.2)	(1,336.9)	(1,429.0)	(1,519.4)	(1,625.7)	(1,723.3)
Gross Profit:	*$ M*	**4,537.8**	**4,894.9**	**5,065.1**	**5,518.9**	**5,975.2**	**6,477.2**	**6,930.7**	**7,346.5**
Operating Expenses:									
(-) Selling, General & Administration Expenses:	*$ M*	(2,610.9)	(2,741.1)	(2,776.2)	(3,049.1)	(3,293.1)	(3,556.5)	(3,805.5)	(4,033.8)
(-) Research & Development:	*$ M*	(364.9)	(366.8)	(374.8)	(390.8)	(407.2)	(423.8)	(453.5)	(480.7)
(-) Depreciation & Amortization:	*$ M*	(306.6)	(301.4)	(317.2)	(347.3)	(375.0)	(405.0)	(433.4)	(459.4)
Total Operating Expenses:	*$ M*	**(3,282.4)**	**(3,409.2)**	**(3,468.1)**	**(3,787.2)**	**(4,075.3)**	**(4,385.4)**	**(4,692.3)**	**(4,973.9)**
Operating Income:	*$ M*	**1,255.3**	**1,485.7**	**1,597.1**	**1,731.7**	**1,899.9**	**2,091.9**	**2,238.3**	**2,372.6**
(-) Interest Expense:	*$ M*	(28.6)	(27.1)	(36.6)	(26.6)	(8.3)	(8.2)	(7.8)	(6.7)
(+) Interest Income:	*$ M*	122.7	143.9	98.8	142.72	161.25	188.30	217.90	249.50
(+/-) Other Income / (Expense):	*$ M*	(19.6)	6.7	(27.1)	(15.0)	(16.2)	(17.5)	(18.7)	(19.9)
Pre-Tax Income:	*$ M*	**1,329.9**	**1,609.2**	**1,632.2**	**1,832.9**	**2,036.7**	**2,254.5**	**2,429.7**	**2,595.6**
(-) Income Tax Provision:	*$ M*	(172.6)	(324.4)	(383.7)	(461.3)	(512.6)	(567.5)	(611.6)	(653.3)
Net Income before Associates and JV:	*$ M*	**1,157.2**	**1,284.8**	**1,248.5**	**1,371.6**	**1,524.0**	**1,687.0**	**1,818.2**	**1,942.3**
(+/-) Share of Profit/(Loss) from JV and Associates:	*$ M*	(4.6)	(1.8)	(6.0)	(4.7)	(5.2)	(5.7)	(6.2)	(6.6)
Net Income before Non-Controlling Interest:	*$ M*	**1,152.6**	**1,283.0**	**1,242.4**	**1,366.9**	**1,518.9**	**1,681.3**	**1,812.0**	**1,935.7**
(-) Non-Controlling Interest:	*$ M*	(4.0)	(4.2)	(3.2)	(4.2)	(4.7)	(5.2)	(5.6)	(6.0)
Net Income to Parent:	*$ M*	**1,148.6**	**1,278.9**	**1,239.3**	**1,362.7**	**1,514.2**	**1,676.1**	**1,806.4**	**1,929.7**
EBITDA	*$ M*	**1,562.0**	**1,787.0**	**1,914.2**	**2,079.0**	**2,274.9**	**2,496.9**	**2,671.7**	**2,832.0**
Earnings Per Share (EPS):	*$ / Share*	**0.48**	**0.53**	**0.52**	**0.57**	**0.63**	**0.70**	**0.75**	**0.80**
Average Diluted Shares:	*M Shares*	2,400	2,397	2,402	2,402	2,402	2,402	2,402	2,402

Acquirer Balance Sheet

Acquirer - Balance Sheet:	Units:	Historical: FY24	FY25	FY26	Projected: FY27	FY28	FY29	FY30	FY31
ASSETS:									
Current Assets:									
Cash & Cash Equivalents:	$ M	1,113.7	1,201.6	1,054.8	925.8	1,332.7	1,729.6	2,386.1	3,149.9
Accounts Receivable:	$ M	1,349.2	1,526.6	1,674.4	1,885.3	2,147.2	2,399.0	2,566.9	2,720.9
Inventory:	$ M	1,183.6	1,198.6	1,240.7	1,283.4	1,343.3	1,397.8	1,495.7	1,585.4
Other Current Assets:	$ M	1,562.8	2,227.5	2,924.2	3,427.9	3,850.2	4,398.1	4,706.0	4,988.4
Total Current Assets:	$ M	**5,209.3**	**6,154.3**	**6,894.1**	**7,522.4**	**8,673.4**	**9,924.5**	**11,154.7**	**12,444.6**
Long-Term Assets:									
Plants, Property & Equipment (Including Intangibles and CWIP):	$ M	2,340.9	2,307.1	2,733.1	2,749.6	2,774.9	2,810.2	2,847.9	2,887.9
Right-of-Use Assets:	$ M	61.8	67.2	78.2	131.1	148.2	170.7	182.7	193.6
Goodwill:	$ M	1,027.7	1,046.1	1,061.5	1,061.5	1,061.5	1,061.5	1,061.5	1,061.5
Deferred Tax Assets:	$ M	492.2	515.8	436.8	436.8	436.8	436.8	436.8	436.8
Other Long-Term Assets:	$ M	1,117.7	683.2	536.9	548.5	555.3	559.8	598.9	634.9
Total Long-Term Assets:	$ M	**5,040.3**	**4,619.3**	**4,846.6**	**4,927.6**	**4,976.8**	**5,039.0**	**5,127.9**	**5,214.8**
Assets Classified as Held for Sale	$ M	5.0	3.6	3.3	3.3	3.3	3.3	3.3	3.3
TOTAL ASSETS:	$ M	**10,254.6**	**10,777.2**	**11,744.1**	**12,453.3**	**13,653.5**	**14,966.9**	**16,285.9**	**17,662.7**
LIABILITIES & EQUITY:									
Current Liabilities:									
Total Borrowings (Including Non-Current):	$ M	341.3	218.8	440.6	-	-	-	-	-
Accounts Payable:	$ M	678.0	723.7	791.7	877.5	962.6	1,055.6	1,129.4	1,197.2
Provisions:	$ M	642.6	720.2	641.7	754.1	814.5	879.6	941.2	997.7
Other Current Liabilities:	$ M	360.2	450.6	551.6	617.0	703.4	799.7	855.6	907.0
Total Current Liabilities:	$ M	**2,022.1**	**2,113.3**	**2,425.7**	**2,248.7**	**2,480.4**	**2,734.8**	**2,926.3**	**3,101.9**
Long-Term Liabilities:									
Lease Liabilities (Includes Current Portion):	$ M	51.3	57.6	58.9	93.6	90.9	92.1	81.2	67.9
Net Deferred Tax Liability:	$ M	20.6	22.5	40.8	40.8	40.8	40.8	40.8	40.8
Other Long-Term Liabilities:	$ M	109.6	101.8	163.3	137.1	148.1	159.9	171.1	181.4
Total Long-Term Liabilities:	$ M	**181.5**	**181.9**	**263.0**	**271.5**	**279.8**	**292.8**	**293.1**	**290.1**
Liabilities Associated with Assets Held for Sale:	$ M	0.1	-	-	-	-	-	-	-
Total Liabilities:	$ M	**2,203.7**	**2,295.2**	**2,688.7**	**2,520.2**	**2,760.2**	**3,027.6**	**3,219.4**	**3,392.0**
Common Shareholders' Equity:	$ M	8,050.9	8,482.0	9,055.4	**9,933.2**	**10,893.3**	**11,939.3**	**13,066.5**	**14,270.7**
TOTAL LIABILITIES & EQUITY:	$ M	**10,254.6**	**10,777.2**	**11,744.1**	**12,453.3**	**13,653.5**	**14,966.9**	**16,285.9**	**17,662.7**
Balance Sheet Check:		*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*	*OK!*

Acquirer Cash Flow Statement

Acquirer - Cash Flow Statement:	Units:	Historical: FY24	FY25	FY26	Projected: FY27	FY28	FY29	FY30	FY31
Net Income:	$ M	**1,157.2**	**1,284.8**	**1,248.5**	**1,371.6**	**1,524.0**	**1,687.0**	**1,818.2**	**1,942.3**
(+) Depreciation and Amortization:	$ M	306.6	301.4	317.2	347.3	375.0	405.0	433.4	459.4
(+/-) Other Items:	$ M	(26.1)	(53.4)	(159.7)	-	-	-	-	-
Changes in Working Capital:									
(+/-) Change in Accounts Receivable:	$ M	42.3	(187.5)	(216.9)	(211.0)	(261.9)	(251.7)	(167.9)	(154.0)
(+/-) Change in Inventory:	$ M	71.8	(21.5)	(5.6)	(42.7)	(59.9)	(54.5)	(97.8)	(89.7)
(+/-) Changes in Other Assets:	$ M	(46.0)	(6.9)	(22.6)	-	-	-	-	-
(+/-) Change in Accounts Payable:	$ M	30.0	61.8	114.2	85.8	85.0	93.0	73.9	67.8
(+/-) Change in Provisions:	$ M	0.4	95.0	(24.8)	112.4	60.3	65.2	61.6	56.5
(+/-) Change in Other Liabilities:	$ M	28.9	21.3	18.9	39.2	97.4	108.1	67.2	61.6
Cash Flow from Operations:	$ M	**1,565.1**	**1,495.0**	**1,269.0**	**1,702.6**	**1,820.0**	**2,052.0**	**2,188.4**	**2,343.8**
(+/-) Net Capex:	$ M	(260.4)	(241.9)	(379.3)	(329.5)	(355.9)	(384.3)	(411.2)	(435.9)
(+/-) Disposal / Acquisition of Subsidiary:	$ M	(17.2)	(31.9)	(367.6)	(34.3)	(44.4)	(56.0)	(59.9)	(63.5)
(+/-) Net Investments:	$ M	194.8	(347.0)	(477.8)	(515.2)	(429.2)	(552.4)	(347.1)	(318.3)
Cash Flow from Investing:	$ M	**(82.8)**	**(620.9)**	**(1,224.7)**	**(879.0)**	**(829.5)**	**(992.7)**	**(818.2)**	**(817.7)**
(+) Proceeds from Borrowings:	$ M	548.4	393.4	561.6	-	-	-	-	-
(-) Repayment of Borrowings:	$ M	(972.2)	(508.3)	(368.2)	(440.6)	-	-	-	-
(-) Lease Principal Repayment:	$ M	(14.8)	(15.7)	(16.3)	(18.3)	(19.8)	(21.3)	(22.8)	(24.2)
(-) Dividends Payment:	$ M	(347.6)	(422.9)	(424.7)	(493.8)	(563.9)	(641.1)	(690.9)	(738.1)
(+/-) Other Items:	$ M	7.6	(345.4)	12.1	-	-	-	-	-
Cash Flow from Financing:	$ M	**(778.5)**	**(898.9)**	**(235.5)**	**(952.7)**	**(583.7)**	**(662.4)**	**(713.7)**	**(762.3)**
(+/-) Fx Effects in Cash:	$ M	(8.9)	14.4	83.8	-	-	-	-	-
(+/-) Cash Transferred / Taken-over from Acquisition:	$ M	0.2	(0.0)	17.6	-	-	-	-	-
Net Change in Cash:	$ M	**695.1**	**(10.5)**	**(89.7)**	**(129.0)**	**406.9**	**397.0**	**656.5**	**763.8**
Beginning Cash:	$ M				**1,054.8**	**925.8**	**1,332.7**	**1,729.6**	**2,386.1**
Ending Cash:	$ M				**925.8**	**1,332.7**	**1,729.6**	**2,386.1**	**3,149.9**

Limitations of the Study

Taxes	▪ Organon is taxed at 32.5% in the DCF but at Sun's 25.17% in the merger model. No structuring analysis: interest deductibility on ~$10.4bn of new debt.
Synergies	▪ $350mm of cost synergies taken from Sun's guidance. No revenue synergies or dis-synergies; total integration cost is a simple 80% of year 4 synergies.
Financing	▪ All new debt priced at 5.5% (Organon's own cost of debt: 7.2%). No ratings, covenant or refinancing risk.
Projections	▪ Projections are judgment-based; CY26 FCF includes one-off $440mm Jada proceeds.
Timing	▪ Fiscal-year mismatch (no calendarization); fixed INR/USD of 92.63 as of the announcement date.
Purchase Accounting & Fees	▪ Purchase price allocation is assumed, not valued. Similarly fee % are assumed official numbers not out yet